PRISM · PREDICTIVE RESEARCH INTELLIGENCE & SYNTHESIS MACHINE

# Starbucks (SBUX) — Valuation, Forecast & Positioning

*A restaurant deep dive on the multiples, ROIC and DCF framework, with a four-year critical-ratio panel benchmarked to the peer standard deviation, litigation and government-policy risk, a Wall Street comparison, and annual and quarter-over-quarter financial-statement analysis.*

**Ticker** SBUX (Nasdaq) **Sector** Consumer Discretionary · Restaurants

**As of** 2026-10-10 · $90.75 (9 Oct close) **WACC** 8.8% · ROIC 18% **Content hash** 3956ddcf3d92fe2f

**Status** Reviewed draft · sign-off pending

**Governance & guardrails.** Research only, **not investment advice** (Ethics 3.30). Market and statement data via yfinance. Quarterly KPIs, litigation, policy and analyst content were collected from company filings and press by research agents, with per-item sources in Appendix C, as of 2026-10-10; re-verify before use. Multiples use TTM figures that sit near trough earnings. Forecasts are scenario anchors on a near-random-walk series.

## EXECUTIVE BRIEF

**Starbucks is a turnaround the market has already paid for. At $90.75 the stock trades on 29× forward earnings and 20× trailing EBITDA, about 40% above restaurant peers. Its operating margin (10.1% TTM before restructuring; ~7.8% GAAP) is a third below theirs. Comps have clearly inflected (+7.9% in Q3 FY26, four straight positive quarters) and margins are rising quarter on quarter. Even so, our six methods centre on ~$70 (-23%), and a reverse DCF needs a ~23% terminal margin at our 8.8% WACC. The Street's $111 assumes the FY28 plan is beaten, not just met.**

- **Valuation:** 29.0× forward P/E (peers 20.8×), 20.4× EV/EBITDA (peers 14.7×), 28.4× P/FCF. Our six methods give $58–$98, central **$70** (12-month roll-forward ~$75). Our DCF runs $43/$58/$71 (bear/base/bull). Reaching today's price takes a ~7.5% WACC *and* 17–19% terminal margins.

- **Ratios FY2022–FY2025 vs peer σ:** the deterioration is concentrated in FY2025. Operating margin (before restructuring) went from −0.3σ to −0.8σ and net margin to −0.9σ; EPS growth (−51%) was a large negative outlier; dividend payout rose to 149% (+2.6σ); and P/E reached +4.4σ on trough earnings. The structural features are a current ratio of ~0.75 (−0.6 to −0.85σ, funded by stored-value-card float) and 25–33 inventory days (+2 to +3.4σ, a vertically integrated coffee model); asset turnover is in line with peers. Interest coverage (6.6–10×) has been at or above the peer mean since FY23.
- **Quarter-over-quarter turnaround is real:** global comps went −2% (Q3 FY25) → +1% → +4% → +6.2% → **+7.9%** (Q3 FY26), with transactions +4.2%. GAAP operating margin rose 8.7% → 10.5% QoQ, and non-GAAP margin 9.4% → 14.4%. An estimated ~200bp of that came from one-off tariff refunds (PRISM estimate; Starbucks did not quantify), and roughly half the comp came from closed-store transfers and delivery.
- **Lawsuits:** nothing is disclosed as material and there are no quantified accruals. The real risk is labour: there is still no first contract with Workers United after ~5 years, a 131-day strike ran in 2025–26, and a 'No Contract, No Coffee' boycott has run since 25 Aug 2026. Securities, derivative and Missouri DEI suits were dismissed (Missouri's appeal is pending); consumer suits (ethical sourcing, sugar-free labelling) are live but small.
- **Policy:** a net tailwind into FY27. Coffee is exempt from every US tariff in force, IEEPA refunds largely offset FY26 tariffs, and arabica (~285¢) is down ~24% y/y on a record Brazil crop. 100% bonus depreciation helps cash, and the China JV (closed 2 Apr 2026, $2.54bn net proceeds) de-risks China. On the other side: 10–37.5% tariffs on equipment and packaging, wage and scheduling mandates, and a consumer squeeze from Fed hikes and $108 oil.
- **Wall Street vs PRISM:** the consensus ranges from Hold (MarketBeat) to Buy (S&P Global), with an average target of $111 (+23%); Morningstar's fair value is $89. We agree with consensus FY26 EPS ($2.59) but not the multiple: the Street target is 35.2× FY27 EPS, against a peer median of 21×.
- **Financial-statement health (Addendum):** stressed but stabilising. FY25 was the trough: GAAP operating margin 7.9%, FCF $2.4bn, and dividends at 113% of FCF. By Q3 FY26 TTM FCF had recovered to $3.6bn, debt was cut by $1.8bn, and the balance sheet was simplified by the China JV. The shareholders' deficit (−$7.7bn) is a legacy of buybacks, not losses.

- **Technicals and catalysts:** the stock is 16% off its high, below its MA50 and MA200, with RSI 28.8 (oversold). Next: Q4 FY26 results on **29 Oct** (the ~$300m closure charge and FY27 guide), the Williams motion-to-dismiss hearing on 27 Oct, and any Chipotle-tie-up headlines (FT report; unconfirmed).

Confidence: MODERATE

WORKING PAPER

## 1 · What is driving Starbucks

Under CEO Brian Niccol (since Sep 2024), 'Back to Starbucks' has reset the US experience. It brought more labour in stores (Green Apron service), a simplified menu, the return of the condiment bar and ceramic mugs, and order sequencing for mobile. Discounting was cut back. The payoff is visible in the comps: four straight positive quarters, led by transactions. The cost has been margin. FY25 GAAP operating margin fell to 7.9% on labour reinvestment, record coffee costs, tariffs and ~$1bn of restructuring (support-centre layoffs and ~1% of North America stores closed). A second wave of ~250 closures (~$300m) was flagged on 24 Sep 2026. Portfolio moves are making the model more asset-light. China retail became a 40%-owned licensed JV with Boyu (closed 2 Apr 2026), and press reports point to a possible Japan stake sale. The January 2026 Investor Day set FY28 targets of comps ≥3%, a 13.5–15% non-GAAP operating margin and EPS of $3.35–4.00. FY26 non-GAAP EPS guidance has been raised three times, to $2.55–2.65.

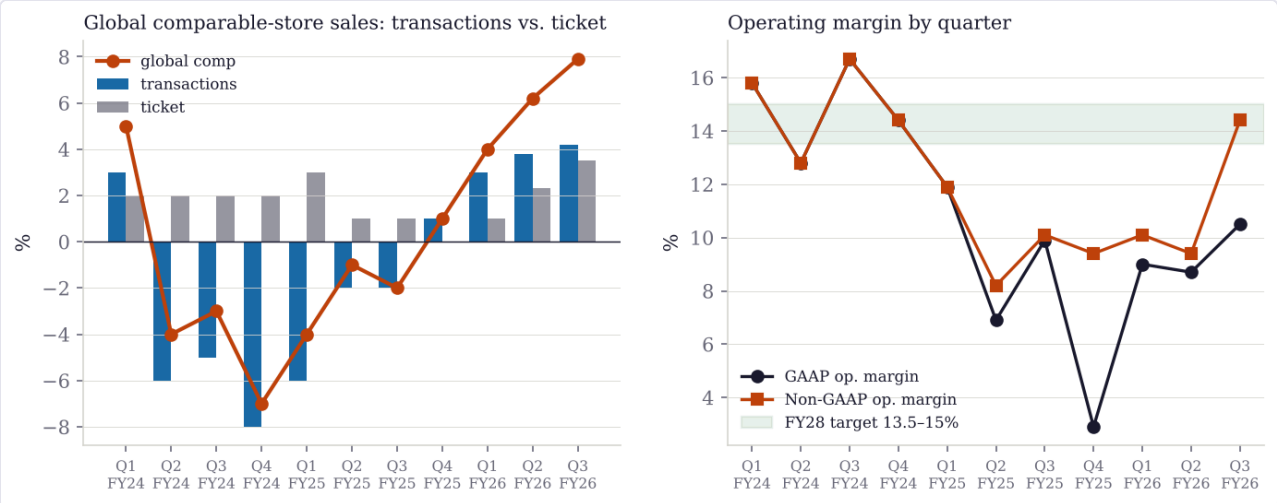



**Fig. 1.** The leading indicators: comps by transactions and ticket, and GAAP vs non-GAAP operating margin, Q1 FY24–Q3 FY26 (company releases).

## 2 · Where SBUX trades vs. peers

The peer set is 11 restaurant companies in four lenses: **QSR / global franchisors** (McDonald's, Yum!, Restaurant Brands, Domino's), **fast casual & beverage** (Chipotle, Dutch Bros, Wingstop, CAVA), **casual dining** (Darden, Texas Roadhouse) and **China QSR** (Yum China). Starbucks is mostly company-operated, so franchisors are the valuation benchmark but not the margin benchmark. EV excludes lease liabilities, consistent with EBITDA after rent.

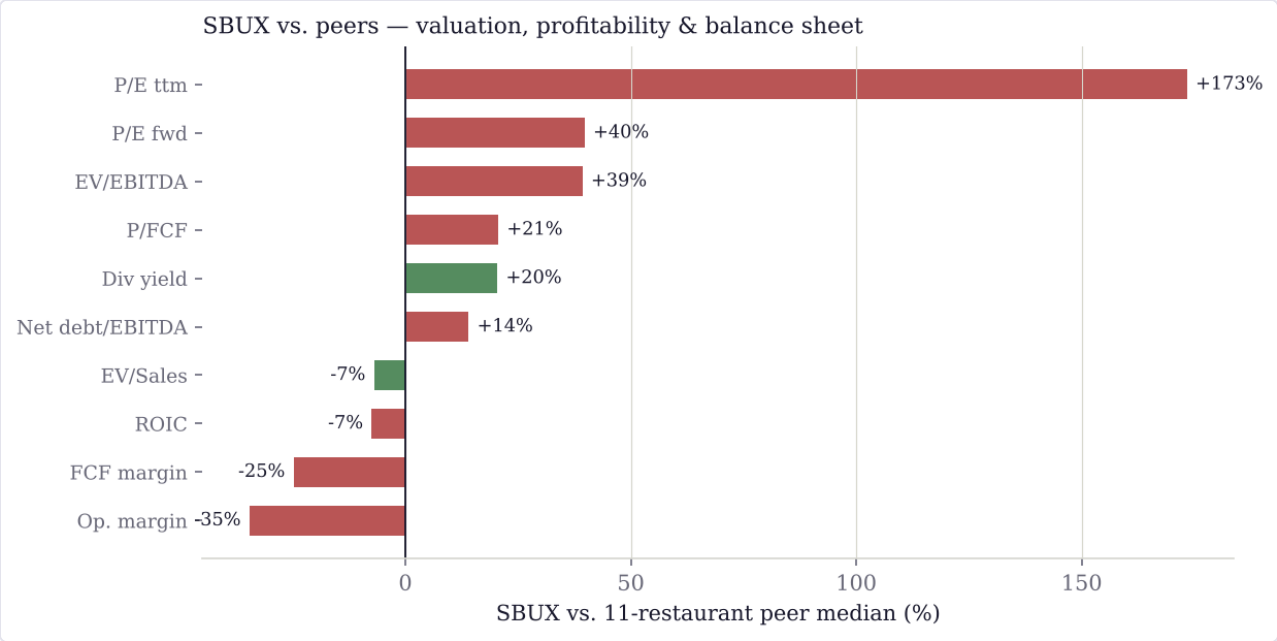



**Fig. 2.** SBUX vs. the peer median. Red = richer multiple or weaker metric; green = cheaper or stronger.

| Metric | SBUX | Peer median | Read |
|---|---|---|---|
| P/E trailing (GAAP) | 52.5 | 19.2 | +173% richer |
| P/E forward (next FY) | 29.0 | 20.8 | +40% richer |
| EV/EBITDA (TTM, ex-lease EV) | 20.4 | 14.7 | +39% richer |
| EV/Sales | 2.95 | 3.17 | in line |
| P/FCF (TTM) | 28.4 | 23.6 | +21% richer |
| Operating margin, TTM % (before restructuring) | 10.1 | 15.4 | -35% lower |
| FCF margin, TTM % | 9.5 | 12.6 | -25% lower |
| ROIC, FY25 % | 17.8 | 19.2 | -7% lower |
| Net debt/EBITDA (incl. leases) | 3.40 | 2.98 | +14% more levered |
| Dividend yield % | 2.73 | 2.27 | +20% higher |

*Table 1 — SBUX vs. peer median (TTM to latest quarter; prices 9 Oct 2026).*

| Company | Lens | P/E fwd | EV/EBITDA | EV/Sales | P/FCF | Op. mgn % | ROIC % | ND/EBITDA | Div yld % |
|---|---|---|---|---|---|---|---|---|---|
| Starbucks ● | Subject | 29.0 | 20.4 | 2.95 | 28.4 | 10.1 | 17.8 | 3.4 | 2.73 |
| McDonald's | QSR / global franchisors | 17.1 | 13.8 | 7.42 | 21.4 | 45.7 | 19.6 | 3.6 | 3.16 |
| Yum! Brands | QSR / global franchisors | 20.9 | 17.7 | 5.86 | 23.5 | 30.4 | 41.8 | 4.0 | 2.04 |
| Restaurant Brands | QSR / global franchisors | 16.0 | 12.7 | 3.81 | 15.2 | 27.0 | 9.9 | 5.0 | 3.62 |
| Domino's | QSR / global franchisors | 14.8 | 14.1 | 2.97 | 15.7 | 19.3 | 71.7 | 4.7 | 2.49 |
| Chipotle | Fast casual & beverage | 23.1 | 17.1 | 3.17 | 25.5 | 15.4 | 22.6 | 2.1 | — |
| Dutch Bros | Fast casual & beverage | 28.5 | 16.4 | 2.75 | 55.2 | 9.6 | 10.4 | 3.0 | — |
| Wingstop | Fast casual & beverage | 22.9 | 19.4 | 6.12 | 25.9 | 27.9 | 44.7 | 5.0 | 1.01 |
| CAVA | Fast casual & beverage | 71.9 | 31.4 | 4.19 | 126.2 | 7.3 | 9.2 | 0.5 | — |
| Darden | Casual dining | 15.9 | 11.4 | 1.87 | 20.7 | 12.2 | 16.1 | 2.8 | 3.16 |
| Texas Roadhouse | Casual dining | 20.8 | 14.7 | 1.68 | 26.5 | 7.9 | 19.2 | 1.2 | 1.81 |
| Yum China | China QSR | 12.7 | 7.2 | 1.08 | 15.7 | 11.4 | 15.3 | 0.5 | 2.03 |

*Table 2 — the comp set (● = SBUX). P/E fwd = yfinance next-fiscal-year consensus.*

## 3 · Fair value — six methods

| Method | Inputs | Implied | vs $91 |
|---|---|---|---|
| Peer-median forward P/E × forward EPS | 20.8× × $3.13 | $65 | -28% |
| Peer-median EV/EBITDA × TTM EBITDA | 14.7× × $5.54bn, less $9.7bn net financial debt | $63 | -31% |
| Peer-median EV/Sales × TTM revenue | 3.17× — flattered by asset-light franchisors | $98 | +8% |
| Peer-median P/FCF × TTM FCF | 23.6× × $3.64bn | $75 | -17% |
| DCF (FCFF, base case) | WACC 8.78%, g 3%, margin → 15.5% | $58 | -36% |

| | | | |
|---|---|---|---|
| FY28-target EBITDA × peer EV/EBITDA, discounted 2y | credits the 13.5–15% FY28 margin algorithm (midpoint) | $77 | -15% |
| **PRISM central fair value (median of six)** | **range $58–$98** | **$70** | **-23%** |
| 12-month roll-forward (CoE less dividend yield) | +6.7% | $75 | -18% |

*Table 3 — implied SBUX share price from each method (net financial debt $9.7bn; 1.14bn shares).*

**The tension is the story.** Every earnings-based method lands at $58–77, because Starbucks is on trough margins and a recovery multiple. Only EV/Sales, which flatters any company-operated chain against asset-light franchisors, supports today's price. Our most generous method credits the full FY28 margin algorithm, applies the peer EV/EBITDA and discounts two years back: it gives $77. The market is paying for the FY28 plan *and* for a premium multiple once the plan is reached.

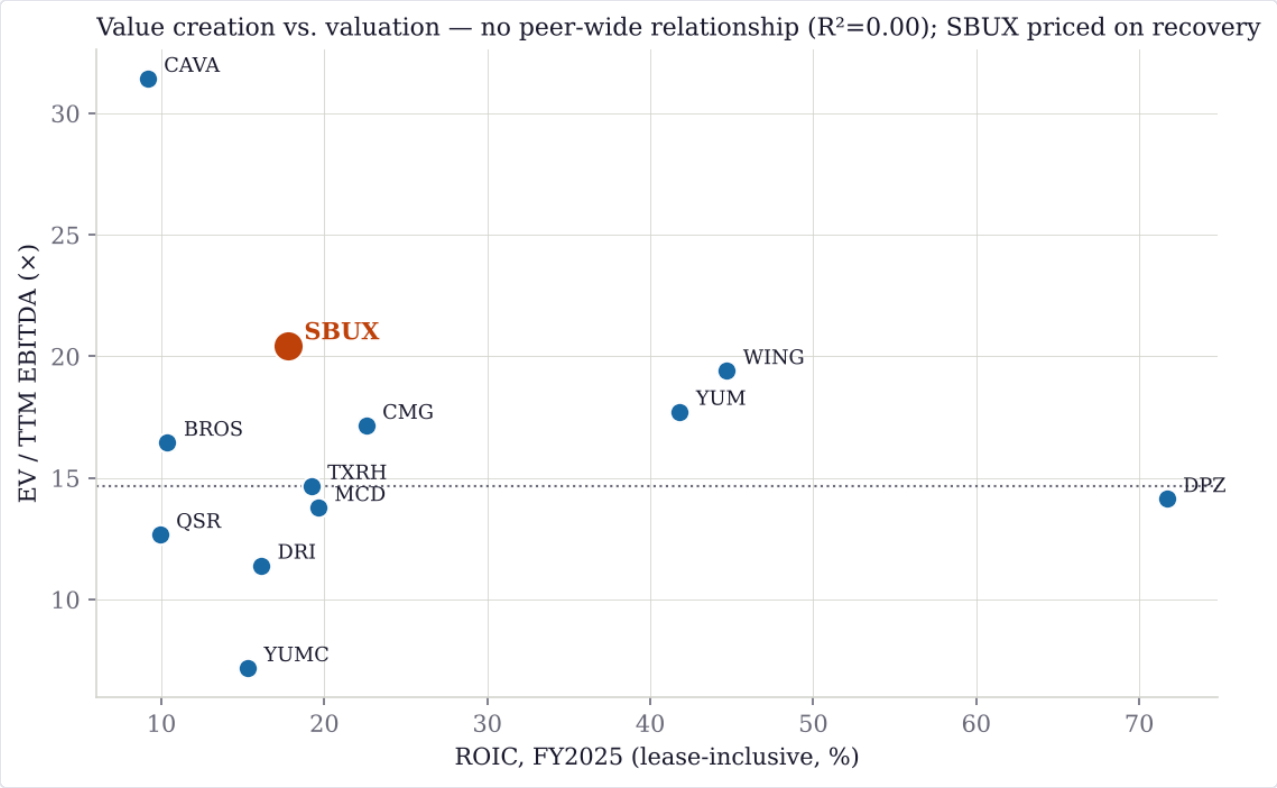



**Fig. 3.** ROIC (FY25, lease-inclusive invested capital) vs. EV/TTM EBITDA. Unlike banks, restaurant multiples show no peer-wide link to current ROIC ($R^2$=0.00). Growth (CAVA, WING) and franchising (YUM, DPZ) drive dispersion, so we do not use a regression fair value here.

## 3a · DCF, sensitivity & reverse DCF

The DCF is an FCFF model: five years from a FY26E revenue base of $37.7bn (after China deconsolidation), tax 24.5%, net capex 1.2% of sales plus working capital on growth, mid-year discounting and a 3% terminal growth rate. WACC is 8.78%: cost of equity 9.38% (normalised rf 4.5% + β 0.97 × 5% ERP) and after-tax cost of debt 4.15%. At the spot 10-year (5.24%) WACC

would be 9.44%. The 40% China JV stake is added at its recorded value (the step-up in investments at closing, $1.2bn).

| Case | Revenue growth | Operating margin | EV | TV share | Value/share | vs price |
|---|---|---|---|---|---|---|
| **Bear** | 2.0%, 3.0%, 3.0%, 3.0%, 3.0% | 11.5%, 12.0%, 12.5%, 13.0%, 13.0% | $58bn | 77% | **$43** | -52% |
| **Base** | 3.5%, 5.0%, 5.0%, 4.5%, 4.0% | 12.5%, 13.5%, 14.5%, 15.0%, 15.5% | $75bn | 78% | **$58** | -36% |
| **Bull** | 5.0%, 6.5%, 6.0%, 5.5%, 5.0% | 13.0%, 15.0%, 16.0%, 17.0%, 17.5% | $90bn | 79% | **$71** | -21% |

*Table 4 — DCF scenarios (growth and GAAP operating-margin paths FY27–FY31).*

| Margin ↓ / WACC → | 7.00% | 7.50% | 8.00% | 8.78% (base) | 9.00% | 9.44% (spot rf) |
|---|---|---|---|---|---|---|
| **13.0%** | $71 | $63 | $56 | $48 | $46 | $42 |
| **14.5%** | $81 | $72 | $64 | $54 | $52 | $48 |
| **15.5%** | **$88** | $77 | $69 | $58 | $56 | $52 |
| **16.5%** | **$94** | $83 | $74 | $63 | $60 | $55 |
| **17.5%** | $100 | **$88** | $79 | $67 | $64 | $59 |
| **19.0%** | $110 | **$97** | **$86** | $73 | $70 | $65 |

*Table 5 — base-case value per share by terminal operating margin (rows) and WACC (columns). Shaded cells are within ±8% of today's price. Reverse DCF: at the base WACC and growth, today's $91 needs a ~23% terminal GAAP margin, against 15.0% in FY24 and a 13.5–15% (non-GAAP) FY28 target. A warranted forward P/E at a 20% ROIC and 3% growth is 13.3× (vs 29.0× actual).*

## 3b · Historical multiples vs. the industry (FY2022–FY2025)

Starbucks traded below the peer median on EV/EBITDA in every year and around it on P/FCF (above in FY22 and FY24). On P/E it moved to a large premium as earnings fell in FY25 (52× on trough GAAP EPS). That is a high multiple on depressed earnings, but it also shows the market never de-rated the franchise during the downturn.

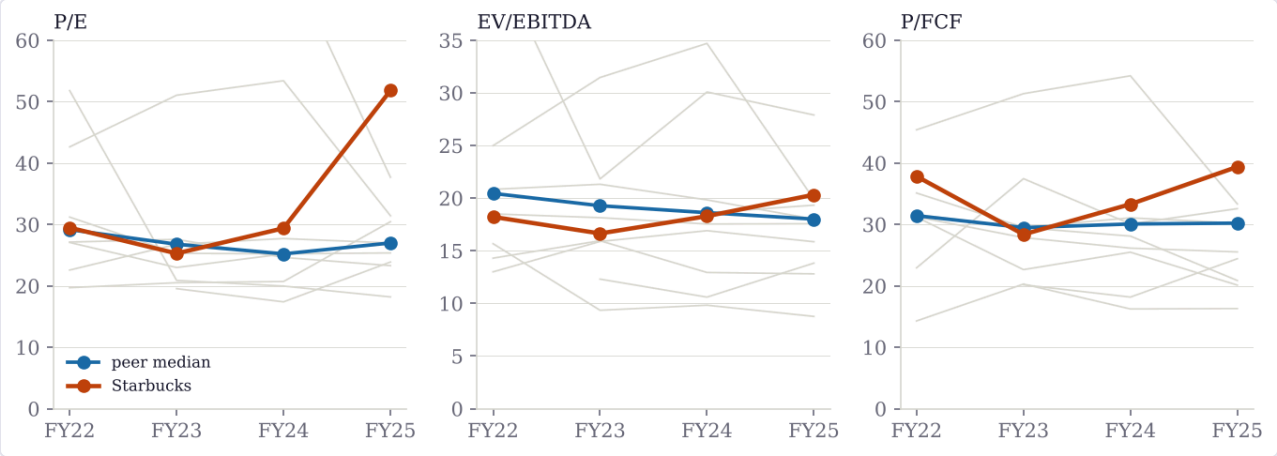



**Fig. 4.** SBUX (orange) vs. peer median (blue) and each peer (grey), fiscal year-end multiples.

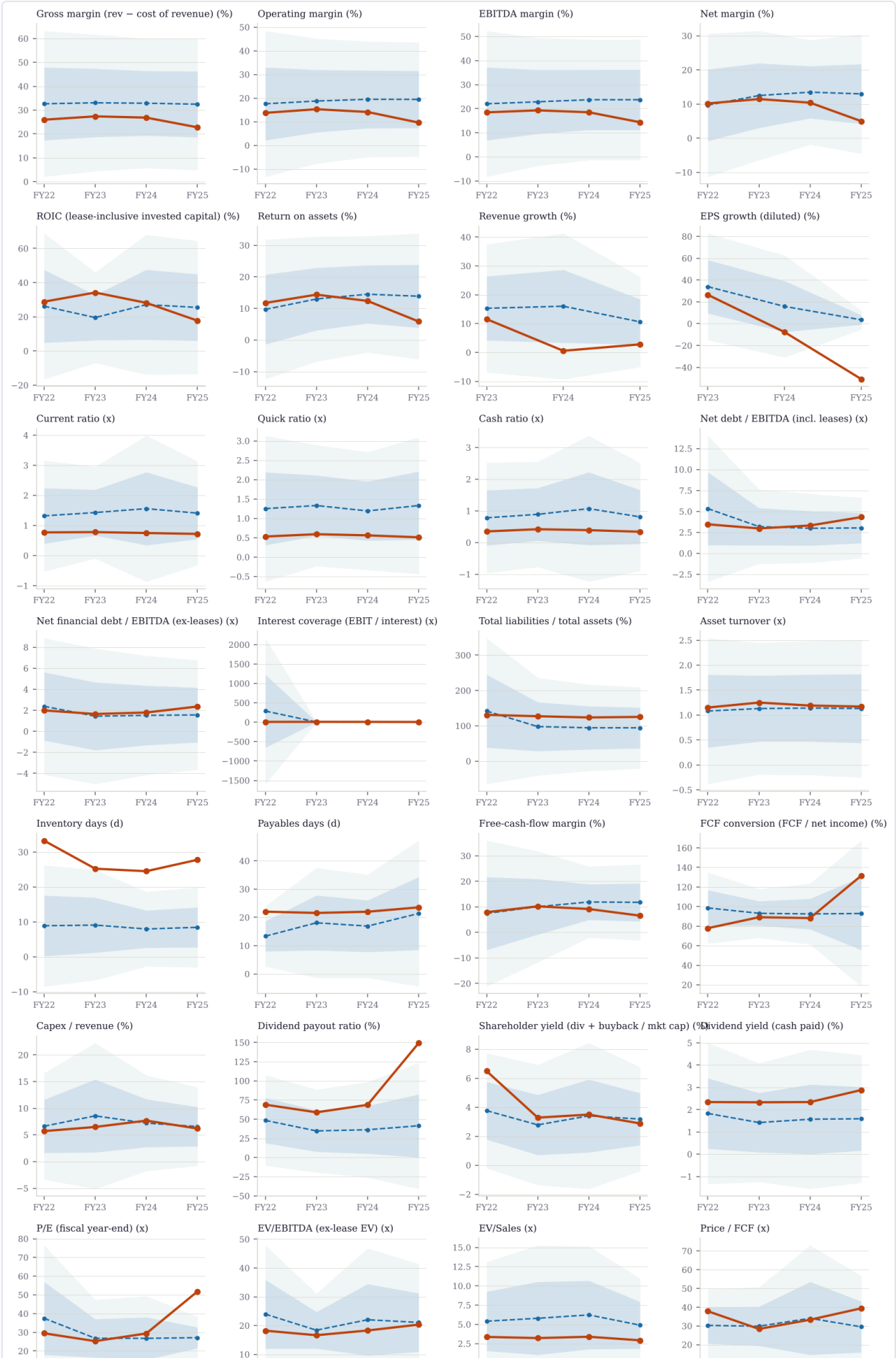
| FY | SBUX P/E | Peer P/E | SBUX EV/EBITDA | Peer EV/EBITDA | SBUX P/FCF | Peer P/FCF |
|---|---|---|---|---|---|---|
| FY22 | 29.5 | 29.2 | 18.2 | 20.4 | 37.8 | 31.4 |
| FY23 | 25.3 | 26.8 | 16.6 | 19.3 | 28.4 | 29.5 |
| FY24 | 29.4 | 25.2 | 18.3 | 18.6 | 33.3 | 30.1 |
| FY25 | 51.8 | 27.0 | 20.3 | 18.0 | 39.4 | 30.2 |

*Table 6 — SBUX vs. peer-median multiples by fiscal year.*

## 4 · Critical financial ratios: four-year trend vs. the peer standard deviation

NEW

We track **28 ratios** in seven families (profitability, growth, liquidity, leverage & solvency, efficiency, cash flow & shareholder returns, valuation) for Starbucks and all 11 peers, FY2022–FY2025. For each ratio and year we compute the peer mean and sample standard deviation (σ) and Starbucks' **z-score = (SBUX − peer mean)/σ**. Restaurant ratios contain extreme values (debt-free chains with interest coverage in the hundreds, IPO-year P/Es), so peers more than 5 robust-σ (MAD-based) from the median are excluded before σ is computed, provided at least 7 peers remain. Ratios are computed consistently from standardised statements, so they can differ from company-defined metrics.


Gross margin (rev − cost of revenue) (%)
Operating margin (%)
EBITDA margin (%)
Net margin (%)
ROIC (lease-inclusive invested capital) (%)
Return on assets (%)
Revenue growth (%)
EPS growth (diluted) (%)
Current ratio (x)
Quick ratio (x)
Cash ratio (x)
Net debt / EBITDA (incl. leases) (x)
Net financial debt / EBITDA (ex-leases) (x)
Interest coverage (EBIT / interest) (x)
Total liabilities / total assets (%)
Asset turnover (x)
Inventory days (d)
Payables days (d)
Free-cash-flow margin (%)
FCF conversion (FCF / net income) (%)
Capex / revenue (%)
Dividend payout ratio (%)
Shareholder yield (div + buyback / mkt cap) (%)
Dividend yield (cash paid) (%)
P/E (fiscal year-end) (x)
EV/EBITDA (ex-lease EV) (x)
EV/Sales (x)
Price / FCF (x)
FY22
FY23
FY24
FY25

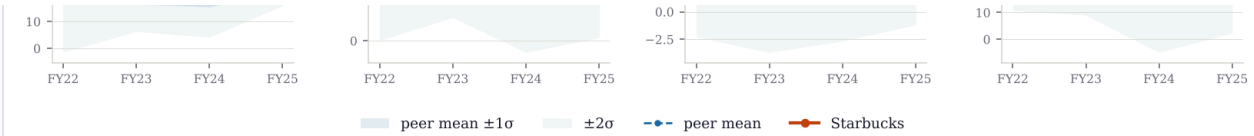



**Fig. 5.** Starbucks (orange) vs. peer mean (blue dashed) with ±1σ (dark) and ±2σ (light) bands, FY2022–FY2025.

Starbucks z-score vs. restaurant-peer distribution (gross outliers >5 robust σ trimmed)
green = better than peers, red = worse; grey = descriptive

| | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|
| Gross margin (rev − cost of revenue) | -0.4σ | -0.4σ | -0.5σ | -0.7σ |
| Operating margin | -0.2σ | -0.3σ | -0.4σ | -0.8σ |
| EBITDA margin | -0.2σ | -0.3σ | -0.4σ | -0.8σ |
| Net margin | +0.1σ | -0.1σ | -0.4σ | -0.9σ |
| ROIC (lease-inclusive invested capital) | +0.1σ | +1.1σ | +0.1σ | -0.4σ |
| Return on assets | +0.2σ | +0.1σ | -0.2σ | -0.8σ |
| Revenue growth | — | -0.3σ | -1.2σ | -1.0σ |
| EPS growth (diluted) | — | -0.3σ | -1.0σ | **-12.4σ** |
| Current ratio | -0.6σ | -0.8σ | -0.7σ | -0.8σ |
| Quick ratio | -0.8σ | -1.0σ | -0.8σ | -0.9σ |
| Cash ratio | -0.5σ | -0.6σ | -0.6σ | -0.6σ |
| Net debt / EBITDA (incl. leases) | -0.4σ | -0.1σ | +0.2σ | +0.7σ |
| Net financial debt / EBITDA (ex-leases) | -0.1σ | +0.1σ | +0.1σ | +0.3σ |
| Interest coverage (EBIT / interest) | -0.3σ | +1.0σ | +1.4σ | +0.5σ |
| Total liabilities / total assets | -0.1σ | +0.4σ | +0.5σ | +0.5σ |
| Asset turnover | +0.1σ | +0.2σ | +0.1σ | +0.1σ |
| Inventory days | **+2.8σ** | **+2.0σ** | **+3.1σ** | **+3.4σ** |
| Payables days | +1.6σ | +0.4σ | +0.6σ | +0.2σ |
| Free-cash-flow margin | +0.0σ | +0.0σ | -0.4σ | -0.7σ |
| FCF conversion (FCF / net income) | -1.1σ | -0.3σ | -0.3σ | +1.0σ |
| Capex / revenue | -0.2σ | -0.3σ | +0.1σ | -0.1σ |
| Dividend payout ratio | +0.7σ | +0.9σ | +1.1σ | **+2.6σ** |
| Shareholder yield (div + buyback / mkt cap) | +1.4σ | +0.2σ | +0.0σ | -0.2σ |
| Dividend yield (cash paid) | +0.3σ | +0.7σ | +0.5σ | +0.9σ |
| P/E (fiscal year-end) | -0.4σ | -0.1σ | +0.2σ | **+4.4σ** |
| EV/EBITDA (ex-lease EV) | -0.5σ | -0.3σ | -0.3σ | -0.1σ |
| EV/Sales | -0.5σ | -0.5σ | -0.6σ | -0.7σ |
| Price / FCF | +0.8σ | -0.1σ | -0.0σ | +0.7σ |

**Fig. 6.** Starbucks z-score heatmap, coloured so green always means better than peers.

**What the four-year panel says.**

- **Profitability broke in FY2025, not before.** Operating margin (before restructuring) sat within ±0.45σ of the peer mean through FY24, then fell to −0.8σ (9.6% vs 19.4%; GAAP 7.9%). Net margin hit −0.9σ and ROA −0.8σ. ROIC was above peers in FY23 (+1.1σ, 34%) and slipped to −0.4σ (18%) in FY25.
- **Growth is the weakest family.** Revenue growth was −1.2σ (FY24) and −1.0σ (FY25), against peers compounding at ~11–16%. FY25 EPS growth (−51%) was a large negative outlier (z ≈ −12) against a tightly clustered peer group.
- **Liquidity is structurally low but deliberate.** The current ratio has been 0.72–0.78 (−0.6 to −0.85σ) and the quick ratio ~0.5 (−0.76 to −0.96σ) in every year. That is the stored-value-card and loyalty model (~$1.8bn of current deferred revenue) plus negative working capital funding operations, not a deterioration.
- **Leverage is creeping up from a reasonable base.** Lease-inclusive net debt/EBITDA rose from 3.0× to 4.3× (+0.7σ in FY25), and the ex-lease figure from 1.7× to 2.4×. Interest coverage (6.6–10×) has been at or above the peer mean since FY23 (−0.3σ in FY22, when a near-debt-free peer inflated the mean). Liabilities exceed assets (125%), as at McDonald's, Yum! and Domino's.
- **Efficiency reflects vertical integration.** Inventory days of 25–33 are +2.1σ to +3.4σ above peers (green-coffee and roasting inventory); asset turnover is in line with peers (+0.1–0.2σ).
- **Shareholder returns have outrun earnings.** Dividend payout reached 149% in FY25 (+2.6σ), and dividend yield has been above the peer mean every year. Total shareholder yield fell from +1.4σ (FY22) to the peer mean in FY25 (−0.2σ) once buybacks stopped.
- **Valuation:** EV/Sales has been ~−0.5 to −0.65σ every year, normal for a company-operated chain. P/E jumped to +4.4σ in FY25 on trough EPS, while EV/EBITDA stayed within ±0.5σ.

| Ratio | FY22 SBUX / peer μ±σ | z | FY23 SBUX / peer μ±σ | z | FY24 SBUX / peer μ±σ | z | FY25 SBUX / peer μ±σ | z |
|---|---|---|---|---|---|---|---|---|
| **Profitability** | | | | | | | | |
| Gross margin (rev − cost of revenue) (%) | **26.0** 32.6±15.3 | -0.4σ | **27.4** 33.0±14.3 | -0.4σ | **26.8** 32.9±13.5 | -0.5σ | **22.8** 32.5±13.8 | -0.7σ |
| Operating margin (%) | **13.7** 17.6±15.4 | -0.2σ | **15.3** 18.8±13.2 | -0.3σ | **14.1** 19.5±12.2 | -0.4σ | **9.6** 19.4±12.1 | -0.8σ |
| EBITDA margin (%) | **18.5** 22.0±15.1 | -0.2σ | **19.3** 22.9±13.3 | -0.3σ | **18.5** 23.7±12.5 | -0.4σ | **14.4** 23.7±12.5 | -0.8σ |
| Net margin (%) | **10.2** 9.7±10.5 | +0.1σ | **11.5** 12.5±9.5 | -0.1σ | **10.4** 13.5±7.6 | -0.4σ | **5.0** 13.0±8.7 | -0.9σ |
| ROIC (lease-inclusive invested capital) (%) | **28.8** 26.2±21.3 | +0.1σ | **34.2** 19.6±13.2 | +1.1σ | **28.2** 27.1±20.4 | +0.1σ | **17.8** 25.5±19.4 | -0.4σ |
| Return on assets (%) | **11.7** 9.7±11.0 | +0.2σ | **14.4** 13.0±9.9 | +0.1σ | **12.4** 14.5±9.2 | -0.2σ | **5.9** 13.9±9.9 | -0.8σ |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| **Growth** | | | | | | | | |
| Revenue growth (%) | — | — | **11.6**<br>15.3±11.1 | -0.3σ | **0.6**<br>16.0±12.6 | -1.2σ | **2.8**<br>10.6±7.8 | -1.0σ |
| EPS growth (diluted) (%) | — | — | **26.5**<br>33.9±24.4 | -0.3σ | **-7.7**<br>15.8±23.3 | -1.0σ | **-50.8**<br>3.6±4.4 | -12.4σ |
| **Liquidity** | | | | | | | | |
| Current ratio (x) | **0.77**<br>1.32±0.92 | -0.6σ | **0.78**<br>1.43±0.76 | -0.8σ | **0.75**<br>1.56±1.21 | -0.7σ | **0.72**<br>1.41±0.86 | -0.8σ |
| Quick ratio (x) | **0.53**<br>1.25±0.94 | -0.8σ | **0.59**<br>1.33±0.78 | -1.0σ | **0.56**<br>1.19±0.76 | -0.8σ | **0.51**<br>1.33±0.88 | -0.9σ |
| Cash ratio (x) | **0.35**<br>0.78±0.87 | -0.5σ | **0.42**<br>0.89±0.83 | -0.6σ | **0.39**<br>1.07±1.15 | -0.6σ | **0.34**<br>0.81±0.85 | -0.6σ |
| **Leverage & solvency** | | | | | | | | |
| Net debt / EBITDA (incl. leases) (x) | **3.46**<br>5.33±4.34 | -0.4σ | **2.97**<br>3.19±2.21 | -0.1σ | **3.32**<br>2.99±2.05 | +0.2σ | **4.32**<br>3.03±1.80 | +0.7σ |
| Net financial debt / EBITDA (ex-leases) (x) | **1.99**<br>2.38±3.24 | -0.1σ | **1.65**<br>1.44±3.22 | +0.1σ | **1.79**<br>1.52±2.83 | +0.1σ | **2.36**<br>1.56±2.60 | +0.3σ |
| Interest coverage (EBIT / interest) (x) | **9.17**<br>288.17±938.80 | -0.3σ | **10.00**<br>6.01±4.05 | +1.0σ | **9.09**<br>6.04±2.25 | +1.4σ | **6.60**<br>5.92±1.41 | +0.5σ |
| Total liabilities / total assets (%) | **131.1**<br>141.9±103.1 | -0.1σ | **127.1**<br>97.9±69.1 | +0.4σ | **123.8**<br>94.5±61.1 | +0.5σ | **125.3**<br>94.3±57.5 | +0.5σ |
| **Efficiency** | | | | | | | | |
| Asset turnover (x) | **1.15**<br>1.08±0.73 | +0.1σ | **1.25**<br>1.13±0.66 | +0.2σ | **1.19**<br>1.14±0.67 | +0.1σ | **1.17**<br>1.13±0.69 | +0.1σ |
| Inventory days (d) | **33.3**<br>8.9±8.7 | +2.8σ | **25.2**<br>9.1±7.9 | +2.0σ | **24.5**<br>8.0±5.3 | +3.1σ | **27.8**<br>8.4±5.7 | +3.4σ |
| Payables days (d) | **22.0**<br>13.3±5.3 | +1.6σ | **21.6**<br>18.1±9.7 | +0.4σ | **22.0**<br>16.9±9.1 | +0.6σ | **23.6**<br>21.4±12.9 | +0.2σ |
| **Cash flow & returns** | | | | | | | | |
| Free-cash-flow margin (%) | **7.9**<br>7.4±14.3 | +0.0σ | **10.2**<br>10.1±10.9 | +0.0σ | **9.2**<br>11.9±7.0 | -0.4σ | **6.6**<br>11.8±7.4 | -0.7σ |
| FCF conversion (FCF / net income) (%) | **77.9**<br>98.6±18.1 | -1.1σ | **89.1**<br>93.1±12.4 | -0.3σ | **88.2**<br>92.5±15.5 | -0.3σ | **131.5**<br>93.0±37.2 | +1.0σ |
| Capex / revenue (%) | **5.7**<br>6.6±5.0 | -0.2σ | **6.5**<br>8.6±6.8 | -0.3σ | **7.7**<br>7.2±4.5 | +0.1σ | **6.2**<br>6.6±3.7 | -0.1σ |
| Dividend payout ratio (%) | **69.0**<br>48.5±29.4 | +0.7σ | **59.0**<br>34.7±27.0 | +0.9σ | **68.7**<br>36.3±31.1 | +1.1σ | **149.3**<br>41.5±41.0 | +2.6σ |
| Shareholder yield (div + buyback / mkt cap) (%) | **6.5**<br>3.8±2.0 | +1.4σ | **3.3**<br>2.8±2.1 | +0.2σ | **3.5**<br>3.4±2.5 | +0.0σ | **2.9**<br>3.2±1.8 | -0.2σ |
| Dividend yield (cash paid) (%) | **2.3**<br>1.8±1.6 | +0.3σ | **2.3**<br>1.4±1.3 | +0.7σ | **2.3**<br>1.6±1.6 | +0.5σ | **2.9**<br>1.6±1.4 | +0.9σ |
| **Valuation** | | | | | | | | |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| P/E (fiscal year-end) (x) | **29.47**<br>37.49±19.46 | -0.4σ | **25.28**<br>26.83±10.23 | -0.1σ | **29.38**<br>26.78±11.28 | +0.2σ | **51.81**<br>27.13±5.58 | +4.4σ |
| EV/EBITDA (ex-lease EV) (x) | **18.22**<br>23.97±11.93 | -0.5σ | **16.64**<br>18.39±6.35 | -0.3σ | **18.29**<br>22.02±12.40 | -0.3σ | **20.33**<br>21.08±10.15 | -0.1σ |
| EV/Sales (x) | **3.37**<br>5.41±3.84 | -0.5σ | **3.22**<br>5.79±4.73 | -0.5σ | **3.39**<br>6.23±4.44 | -0.6σ | **2.93**<br>4.90±3.04 | -0.7σ |
| Price / FCF (x) | **37.84**<br>30.26±9.71 | +0.8σ | **28.38**<br>29.84±10.41 | -0.1σ | **33.30**<br>34.07±19.44 | -0.0σ | **39.39**<br>29.51±13.56 | +0.7σ |

*Table 7 — the full ratio panel. Each cell shows SBUX (bold) above the peer mean ± σ, with the z-score alongside (green = favourable at $|z|\geq 1$, red = unfavourable).*

## 5 · Headwinds

**Valuation leaves no room for a stumble:** the stock prices the FY28 algorithm and then some. **Comp quality:** management concedes about half of the Q3 comp came from transfers from closed stores and from delivery. The spring 2026 tax-refund boost will be lapped in FY27. **Labour:** a first union contract, if signed, resets wage and benefit costs; until then strikes and the boycott weigh on traffic in union markets. **Margin optics:** Q3 FY26's 14.4% non-GAAP margin was flattered by IEEPA tariff refunds (PRISM estimate ~200bp; not disclosed by Starbucks). The underlying run-rate is closer to 12–13%. **Consumer:** Fed hikes and $108 oil squeeze the lower-income customer that drives afternoon traffic. **Capital allocation:** dividends (~$2.45/share) exceeded FY25 GAAP EPS ($1.63). Buybacks have been suspended since Q1 FY24, and leverage (3.4× lease-inclusive net debt/EBITDA) limits flexibility. **Strategic noise:** a possible Chipotle tie-up (FT, Oct 2026) could add deal risk.

## 6 · Ongoing lawsuits & legal contingencies NEW

Starbucks' FY2025 10-K (Note 16) and Q3 FY2026 10-Q (Note 15) disclose **no individually material proceeding and no quantified legal accrual**. The company calls the risk of material loss from union-organising litigation 'remote'. Since Q1 FY26 the note has also listed customer-injury, shareholder and consumer-fraud claims. Gross unrecognised tax benefits are $119.9m. The largest legal and labour exposure is not a court loss but the **Workers United first-contract dispute**, which affects labour cost and traffic.

| Matter / forum | Status | Exposure | Impact |
|---|---|---|---|
| **Workers United first-contract bargaining, strikes and 'No Contract, No Coffee' boycott**<br>US (NLRA); ~700+ union stores, ~15,000 workers | No first contract after ~5 years. Union rejected Starbucks' framework/economic package Apr 2025; 92% strike authorization Nov 2025; latest: 2026-09-16 | Not quantified. | High |

| | | | |
|---|---|---|---|
| **NLRB unfair-labor-practice proceedings and appellate review (incl. Starbucks v. McKinney aftermath)**<br>NLRB (regional/ALJ/Board); US Courts of Appeals (3rd, 5th, 8th, 9th Cir.) | ~550-600+ ULP charges reported pending (union figures). Board now Republican-majority (3-1 since 2026-08-07) and issuing more employer-favorable rulings: 2026-03-23 Siren Retail d/b/a Starbucks, 374 NLRB No. 66 declined to overrule Ex-Cell-O (no make-whole damages for refusal-to-bargain);<br>latest: 2026-09-10 | Not quantified; | Medium |
| **Williams v. Starbucks ('100% Ethically Sourced' claims and undisclosed VOCs in decaf)**<br>W.D. Wash. No. 2:26-cv-00112 (Judge Kymberly Evanson) | Filed 2026-01-13 (Hagens Berman); amended 2026-04-23 (16 named plaintiffs); alleges deceptive ethical-sourcing marketing and undisclosed benzene/toluene/methylene chloride in Decaf House Blend.<br>latest: 2026-10-27 | Not quantified (nationwide consumer class seeking damages and injunctive relief). | Medium |
| **Workers United v. Starbucks / Starbucks v. Workers United (trademark: name and raised-fist logo)**<br>E.D. Pa. No. 2:26-cv-02202 (union declaratory-judgment suit); S.D. Iowa (Starbucks infring | Cases from 2023 were dismissed without prejudice after the 2024 MOU; union refiled Apr 2026, Starbucks refiled Jun 2026. On 2026-10-02 Judge Baylson (E.D.<br>latest: 2026-10-02 | Not quantified; | Low |
| **Garbaccio et al. v. Starbucks Corp. (securities class action over FY2024 sales/'Reinvention Plan' statements)**<br>W.D. Wash. No. 2:24-cv-01362 (Judge John Chun) | Class period 2023-11-02 to 2024-04-30. Partially survived dismissal Nov 2025 (claims vs Starbucks and ex-CEO Narasimhan). On ~2026-07-15 Judge Chun dismissed the amended complaint (scienter not adequately pled;<br>latest: 2026-07-15 | Not quantified (alleged ~16% stock drop on 2024-05-01, ~$16bn market cap); | Low |
| **Shareholder derivative actions (Trimm v. Starbucks - union oversight; Johnson Fistel derivative investigation)**<br>Washington Court of Appeals, Div. I (Trimm, from King County Superior Court); investigatio | Trimm et al. v. Starbucks (alleged board failure to oversee anti-union conduct 2019-2023): Court of Appeals reversed trial court and ordered dismissal without prejudice for failure to plead demand futility (~late Dec 2025/early Jan 2026).<br>latest: 2026-01-28 | Not quantified; | Low |

| | | | |
|---|---|---|---|
| **State of Missouri ex rel. Hanaway v. Starbucks (DEI / race- and sex-based employment practices)**<br>E.D. Mo. No. 4:25-cv-00165 (Judge John Ross); appeal 8th Cir. No. 26-1258 | Filed Feb 2025. Dismissed 2026-02-05 (no harmed Missouri resident identified / standing). Missouri appealed 2026-02-13;<br>latest: 2026-07-21 | Not quantified (sought injunctive relief and penalties). | Low |
| **Florida AG v. Starbucks (DEI / Florida Civil Rights Act) - settled**<br>Florida 10th Judicial Circuit (Highlands County); preceded by 2024 Florida Commission on H | Suit filed Dec 2025 by AG Uthmeier. Resolved ~2026-09-17: Starbucks pays $1m (litigation cost reimbursement), no admission of wrongdoing, commits to comply with FCRA (no race/sex-based goals or quotas in hiring, pay, exec comp, mentorship, supplier selection), not to join orgs requiring board racial-diversity increases, and CLO annual compliance certifications for 4 years.<br>latest: 2026-09-17 | $1m paid/agreed; | Low |
| **EEOC matters (DEI-related)**<br>US EEOC | No public EEOC charge, commissioner charge or suit against Starbucks found in searches; UNVERIFIED (EEOC charges are typically non-public).<br>latest: 2026-10-10 | Not quantified / none identified. | Low |
| **Phillips v. Starbucks (reverse race discrimination verdict, 2018 Philadelphia arrests aftermath)**<br>D.N.J. (Judge Slomsky); possible 3rd Cir. appeal | Jury verdict $25.6m (Jun 2023, mostly punitive) plus ~$2.7m back/front pay (Aug 2023). Post-2023 appeal/payment status UNVERIFIED.<br>latest: 2023-08-16 | ~$28.3m plus interest (if not reduced/settled). | Low |
| **Garcia v. Starbucks (delivery driver hot-tea burn verdict)**<br>Los Angeles County Superior Court; California Court of Appeal | Jury verdict $50m on 2025-03-14 (Judge Frederick Shaller); post-trial motions (excessiveness) denied; Starbucks appealed.<br>latest: 2026-04-13 | $50m verdict; | Low |
| **NYC DCWP Fair Workweek settlement**<br>New York City Department of Consumer and Worker Protection | Resolved 2025-12-01: $38.9m total ($35.5m+ restitution to 15,000+ workers at $50/week worked 2021-07-04 to 2024-07-07; $3.4m civil penalties/costs). Ongoing Fair Workweek compliance;<br>latest: 2025-12-01 | $38.9m (settled); | Low |
| **Wage-and-hour: dress-code reimbursement suits and other employment class/collective actions**<br>Colorado 2nd Judicial District (Mannick v. Starbucks, | Filed ~Sept 2025 over unreimbursed costs of the May 2025 'black top' dress code; current status UNVERIFIED. 10-K/10-Q reference 'certain employment litigation cases certified as class or collective actions'.<br>latest: 2025-09-30 | Not quantified (likely small per-worker clothing costs, plus PAGA penalties). | Low |

| | | | |
|---|---|---|---|
| 2025CV33336); Cook County, IL (Nijen | | | |
| **National Consumers League v. Starbucks (ethical sourcing, DC Consumer Protection Procedures Act)** D.C. Superior Court (remanded from D.D.C. No. 1:24-cv-00421 on 2025-01-28) | Filed Jan 2024; remanded Jan 2025; motion to dismiss denied ~Aug 2025; latest: 2025-08-11 | Not quantified; | Low |
| **Doe I et al. v. Starbucks (TVPRA forced/child labor in Brazilian coffee supply chain)** Originally D.D.C. No. 1:25-cv-01261 (dismissed); refiled Seattle (W.D. Wash. No. 2:26-cv-0 | Filed Apr 2025 by IRAdvocates for 8 Brazilian workers; D.D.C. (Judge Howell) dismissed for lack of personal jurisdiction 2026-02-17; latest: 2026-08-17 | Not quantified (TVPRA damages for named plaintiffs). | Low |
| **'Sugar-Free' protein drinks labeling class action (Walsh, Legnini, Potter v. Starbucks)** W.D. Wash. (Seattle); case number not verified | Filed 2026-10-02 (Hagens Berman) on behalf of CA/NY/WA purchasers; alleges 8 'Sugar-Free' protein lattes/matchas contain sugar (from protein-boosted milk). Starbucks says no merit. latest: 2026-10-02 | Not quantified (nationwide class damages + injunction). | Low |
| **Non-dairy milk surcharge suits (US ADA/Unruh class action; Quebec class action)** US: E.D. Cal. (refiled Mar 2024 after Florida voluntary dismissal); Canada: Quebec Superio | Starbucks dropped the US non-dairy upcharge in Nov 2024. US case status UNVERIFIED (no ruling found). Quebec class action authorized ~Jun 2026 (Justice Martel), class period 2021-12-30 to 2024-11-07 for Starbucks. latest: 2026-06-17 | Not quantified (US complaint sought >$5m; | Low |
| **Kominis v. Starbucks (Refreshers contain no fruit)** S.D.N.Y. | Motion to dismiss largely denied Sept 2023; reported voluntarily dismissed 2024-09-09 with no class settlement (single secondary source; treat as likely resolved). latest: 2024-09-09 | None outstanding (if dismissal confirmed). | Low |
| **Tax contingencies (IRS/foreign audits; EU/Netherlands state aid; China divestiture tax)** US federal/state, foreign tax authorities; EU General Court | EU state aid (Netherlands APA) resolved: General Court annulled the Commission decision 2019-09-24 (T-760/15, T-636/16); no exposure remains. Open examinations FY2018-FY2024; latest: 2026-07-29 | $119.9m gross UTB (accrued); | Low |

| | | | |
|---|---|---|---|
| **China retail JV with Boyu Capital and Xinjiang store openings (political/regulatory scrutiny)**<br>China (JV); US Congress (House Select Committee on the CCP) | 60% stake sold to Boyu (EV ~$4bn) closed 2026-04-02; no litigation disclosed. On 2026-10-01 Rep.<br>latest: 2026-10-01 | Not quantified; | Low |
| **Store-closure related labor claims (FY2025 and Sept 2026 'Back to Starbucks' closures)**<br>NLRB (effects-bargaining ULPs); NYC DCWP reinstatement rights; potential WARN | Sept 2025 closures produced a 2025-09-30 agreement with Workers United for impacted union partners; SBWU filed ULPs over Mar-Apr 2026 Seattle closures. 8-K 2026-09-24: ~1% of >18,000 North America coffeehouses (~250) to close, ~$300m restructuring (~$200m cash).<br>latest: 2026-09-24 | Not quantified (restructuring charges disclosed separately: ~$300m Sept 2026 plan; | Low |

*Table 8 — legal matters (status as of 10 Oct 2026; impact is analyst judgement). Sources in Appendix C.*




**Fig. 7.** Legal and policy risk map: analyst-judged probability vs. severe-case annual operating-profit impact ($m, log scale). Placements are judgement, not model outputs. Positive items (green) are plotted at the size of the potential tailwind.

## 7 · Government policy & regulatory shifts NEW

Policy has turned into a modest net tailwind into FY27. On coffee, the November 2025 orders exempted coffee from reciprocal tariffs and removed the 40% Brazil add-on. The Supreme Court struck down the IEEPA tariffs on 20 Feb 2026, and Starbucks says the refunds 'largely offset' FY26 tariff costs. Arabica has fallen to ~285¢/lb on a record Brazil crop. On the other side, replacement Section 301 tariffs (10–12.5%, 37.5% on China) hit equipment, packaging and merchandise. State

wage, scheduling and packaging-EPR rules add cost, and the macro backdrop (Fed at 3.75–4.00%, Brent ~$108) squeezes the consumer.




**Fig. 8.** Arabica coffee futures over five years, with the 2025–26 tariff milestones.

| Policy | Status | Estimated effect | Direction |
|---|---|---|---|
| **IEEPA tariffs struck down by US Supreme Court (Learning Resources v.** United States (Supreme Court / CBP / Court of International Trade) | Decided 6-3 on 2026-02-20: IEEPA does not authorize tariffs. Refund process run through CIT/CBP; | Refunds 'largely offset' tariffs incurred in Q1-Q3 FY26 and were booked in product & distribution costs. Dollar amount not disclosed. | Positive |
| **Coffee tariff exemptions: Nov-2025 agricultural exemption EO;** United States (White House / USTR) | In force. Coffee was exempted from reciprocal tariffs on 2025-11-14 (effective for entries from 2025-11-13). | Removed tariffs of 10% (most origins) to 50% (Brazil, Aug-Nov 2025) on green coffee. Starbucks did not quantify the exemption separately. | Positive |
| **Replacement tariff regime on non-coffee inputs: Section 122 10% surcharge (expired) then Section 301 'forced labor' tariffs;** United States (USTR / CBP) | Sec.122 10% surcharge ran 2026-02-24 to 2026-07-24 (CIT ruled it unlawful 2026-05-07, but the Federal Circuit stayed that ruling). The Sec.301 forced-labor tariffs took effect 2026-07-24: 10% flat for Canada, Mexico (non-USMCA), India, Indonesia, Guatemala, Honduras and others; | Not disclosed by Starbucks. Exposure covers China-made packaging, smallwares, drinkware/merchandise and some equipment, plus Swiss-made espresso machines (capped at 12.5% all-in). | Negative |
| **Arabica coffee price environment (ICE 'C' futures) and supply-side policy and weather drivers** Global (ICE US; Brazil Conab) | KC front-month about 285 c/lb on 2026-10-09, down ~24% y/y and ~35% below the Feb-2025 record of ~441 c/lb. Conab forecasts a record Brazil 2026/27 crop of 66.2m bags (+17%; | Starbucks said coffee inflation would be 'largely immaterial' by Q4 FY26. As of 2026-06-28 it held $383m of fixed-price and $440m of price-to-be-fixed green coffee commitments. | Positive |
| **EU Deforestation Regulation (EUDR),** | A targeted revision (Council sign-off 2025-12-18) postponed | Small direct cost for Starbucks; EU packaged coffee is sold via Nestle | Mixed |

| | | | |
|---|---|---|---|
| **postponed and simplified**<br>European Union (Commission / Council / Parliament) | application. Large and medium operators apply from 2026-12-30; | (Global Coffee Alliance), and most EMEA stores are licensed. | |
| **California fast-food minimum wage (AB 1228, $20/hr) and Fast Food Council;**<br>California; other US states/cities | The CA fast-food minimum stays at $20.00/hr (since 2024-04-01). The Fast Food Council has not met in over a year, has no chair, and has approved no 2026 increase (CalMatters, May 2026). | Modest. A council freeze in CA removes a likely ~3.5% step-up. | Negative |
| **NLRB composition (3-1 Republican majority), Trump v.**<br>United States (NLRB / Supreme Court) | Senate confirmed James Macy (R) and reconfirmed David Prouty (D) on 2026-08-07, giving a 3-1 Republican majority with Chairman Murphy and Member Mayer (the Board has had three members since Dec 2025). The majority is expected to revisit Cemex bargaining orders, the Amazon captive-audience ban, Stericycle and McLaren Macomb. | Not quantified. A Cemex reversal would end the risk of imposed bargaining orders. | Mixed |
| **NYC Fair Workweek enforcement: $38.9m Starbucks settlement**<br>New York City (DCWP) | Settled 2025-12-01: $35.5m+ restitution to 15,000+ workers plus $3.4m penalties, for 500k+ violations at 300+ NYC stores (Jul-2021 to Jul-2024). Ongoing compliance includes 14-day schedules, a 15% hour-cut limit and just-cause protections. | $38.9m one-time (~4 bps of annual revenue). Ongoing scheduling-flexibility costs in NYC are not quantified. | Negative |
| **OBBBA 'No tax on tips' (up to $25k deduction) and 'No tax on overtime' (up to $12.5k / $25k joint) for 2025-2028;**<br>United States (Congress / IRS / Treasury; DOL) | Enacted 2025-07-04. The Treasury occupation list includes baristas (under fast food and counter workers). | Small. Barista tips (card and digital) are typically a few hundred to low thousands of dollars a year, so the after-tax benefit per barista is roughly $100-500/yr (our estimate, unverified). | Positive |
| **Immigration enforcement surge: labor supply and demand effects**<br>United States (DHS / ICE) | Ongoing interior enforcement surge. Brookings (May 2026, updated Sept 2026) estimates ~668k payroll jobs lost across 86 surge cities (employment 0.73-1.48% below counterfactual). | Not quantified for Starbucks. Its direct exposure is lower than full-service and back-of-house-heavy restaurants because of E-Verify-type hiring and a younger, US-born workforce (unverified). | Negative |
| **OBBBA corporate tax provisions: permanent 100% bonus depreciation, domestic R&E expensing, 163(j) back to EBITDA, international regime changes (FDII/...** | Enacted 2025-07-04. 100% bonus depreciation is permanent for property acquired after 2025-01-19. | Cash-tax positive and largely timing. Starbucks' heavy store-equipment capex (uplifts and new builds) qualifies for 100% expensing, deferring several hundred $m of cash taxes per year (our estimate, unverified). | Positive |

| | | | |
|---|---|---|---|
| United States (Congress / Treasury) | | | |
| **OECD Pillar Two global minimum tax: G7 'side-by-side' deal exempting US-parented groups from IIR/UTPR**<br>OECD Inclusive Framework / G7; implementing countries | G7 statement 2025-06-28; OECD Inclusive Framework administrative guidance released 2026-01-05. | Small. Starbucks states Pillar Two is 'not expected to materially impact' results. | Positive |
| **Starbucks China joint venture with Boyu Capital (60% sold;**<br>China (regulatory approvals incl. SAMR merger review) / US | Announced 2025-11-03 at an ~$4bn EV. Closed and announced 2026-04-02. | Total value >$13bn (proceeds + 40% stake + NPV of licence fees). Guided as ~$0.02-0.03 FY26 EPS dilution and ~40 bps accretive to consolidated operating margin. | Mixed |
| **US-China trade relations: Busan truce extended;**<br>US / China (USTR, MOFCOM) | The truce from the 2025-10-30 Busan summit was extended to 2027-01-10 (announced 2026-09-24, around the Trump-Xi Washington summit of Sept 24-25). Reciprocal tariff-cut lists (~$30bn each way) were released 2026-09-28 with no rates or effective date yet. | Not quantifiable for Starbucks. After the JV, direct exposure is the 40% equity stake plus royalties (~$53m/qtr reported China revenue). | Positive |
| **Packaging EPR and single-use rules: California SB 54 regulations;**<br>California (CalRecycle); OR/CO/ME/MN/WA; EU | CalRecycle's permanent SB 54 regulations were approved around 2026-05-01, with producer registration via the Circular Action Alliance due 2026-06-01. SB 54 requires 100% recyclable or compostable single-use packaging and foodservice ware by 2032, 65% plastic recycling, and a 25% source reduction vs 2023. | Not quantified by Starbucks or sources. As a brand owner of cups and lids, Starbucks is the obligated 'producer'. | Negative |
| **Food and health regulation: FDA front-of-pack nutrition labeling (proposed), 'healthy' claim rule, synthetic dye phase-out (MAHA), sugar-sweetened be...**<br>United States (FDA/HHS); states/cities | FDA's front-of-pack rule was proposed 2025-01-16 and is not final as of Aug 2026; compliance would be 3 years after finalization. | Low. Front-of-pack rules apply to packaged foods (relevant to Channel Development and Nestle partner products and to Starbucks' packaged grab-and-go items), not made-to-order beverages. | Negative |
| **Federal Reserve tightening under Chair Warsh and Iran-war energy shock (macro and consumer)**<br>United States (FOMC); global energy markets | FOMC raised rates 25 bp to 3.75-4.00% on 2026-09-16, the first hike since 2023. August CPI was 3.4% y/y, and 16 of 18 participants expect another 2026 hike; | Not quantified for Starbucks. Higher gasoline prices and credit costs squeeze lower-income discretionary spend. | Negative |

| | | | |
|---|---|---|---|
| **OBBBA household tax relief: larger 2026 tax refunds (consumer stimulus)**<br>United States (IRS / Treasury) | 2026 filing season refunds were ~$65bn (+18%) higher than 2025 per BofA. Total OBBBA consumer stimulus is estimated at $135-140bn, skewed to middle and higher incomes and concentrated Feb-Apr 2026. | Not quantified for Starbucks. It likely contributed to the strong Q2-Q3 FY26 US comp acceleration (Q3 +7.9%), alongside Back to Starbucks initiatives. | Positive |

*Table 9 — policy and regulatory shifts with potential to move Starbucks' results or valuation. Sources in Appendix C.*

## 8 · What Wall Street says, and how our figures compare NEW

The Street ranges from **Hold** (MarketBeat) to **Buy** (S&P Global): MarketBeat counts 23 Buy, 12 Hold and 5 Sell (40 analysts); S&P Global counts 15 Buy, 19 Hold and 2 Sell (36). The average 12-month target is **$111.33** (median $111.5; high $143 BofA, low $82 Redburn). After the Q3 beat on 29 Jul (comps +7.9%, non-GAAP margin 14.4%, EPS $0.85 vs ~$0.66) targets were raised broadly to $110–130. Since late September several targets have been trimmed: JPMorgan in a group-wide recalibration, Baird after the closure 8-K, and UBS despite positive survey data. Morningstar's fair value is **$89** (wide moat, 3 stars). Bulls cite traffic-led comps, repeated guidance raises and the asset-light pivot. Bears cite a ~29× forward P/E, comp quality, closure costs and a dividend above GAAP EPS.

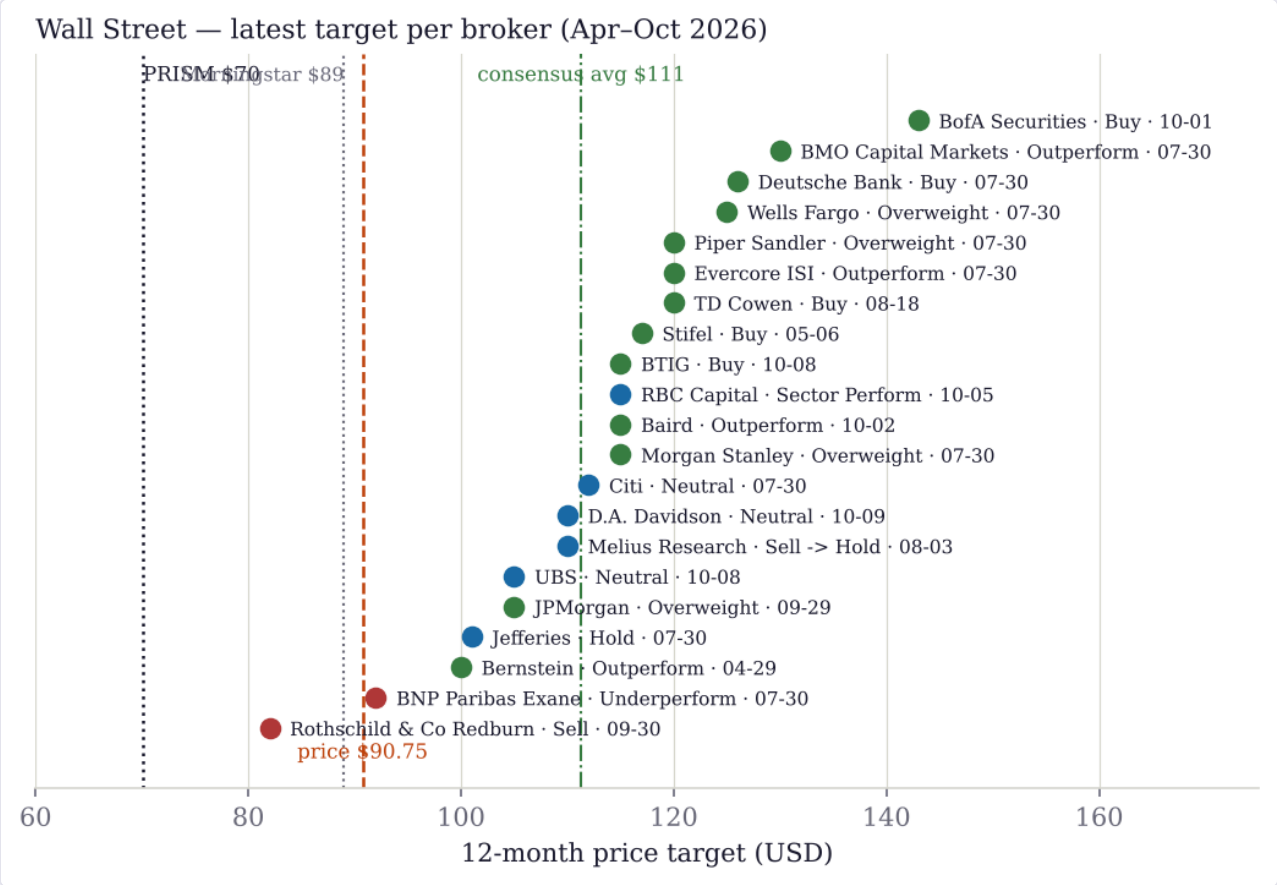



**Fig. 9.** Latest target per broker (green Buy/Overweight, blue Hold/Neutral, red Sell/Underperform) vs. price, consensus, Morningstar and the PRISM central value.

| Date | Firm | Rating | Target | Rationale (as reported) |
|---|---|---|---|---|
| 2026-10-09 | D.A. Davidson | Neutral | $110 | On the FT Chipotle report: calls a deal 'transformational' with some strategic logic (new growth lever) but little supply-chain overlap. |
| 2026-10-08 | BTIG | Buy | $115 | Skeptical of a Chipotle tie-up. |
| 2026-10-08 | UBS | Neutral | $112→$105 | UBS Evidence Lab coffee and QSR surveys show improving brand perception and positive visit intent, and US momentum should continue. |
| 2026-10-05 | RBC Capital | Sector Perform | $115 | Rationale not available in accessible sources. |
| 2026-10-02 | Baird | Outperform | $124→$115 | The cut followed the Sept 24 8-K: about 250 North American closures, about $300M charges, and FY2026 net new stores cut to about 440 from 600-650. |
| 2026-10-01 | BofA Securities | Buy | $143 | Customer survey: about 66% of mobile pre-order customers say ordering is faster, supporting the turnaround and throughput thesis. |
| 2026-09-30 | Rothschild & Co Redburn | Sell | $81→$82 | Street-low target. |

| | | | | |
|---|---|---|---|---|
| 2026-09-29 | JPMorgan | Overweight | $112→$105 | Group-wide recalibration of restaurant targets after management meetings. |
| 2026-09-24 | William Blair | Outperform | — | Reiterated on the day of the 250-store closure 8-K. |
| 2026-09-16 | Seaport Research Partners | Neutral | — | Brand affinity, consideration and purchase intent are at 5-year highs, and Q3 strength was broad-based across income cohorts and dayparts. |
| 2026-09-08 | Oppenheimer | Perform | — | Comp trends are healthier, but valuation already reflects much of the recovery. |
| 2026-08-25 | Baird | Outperform | $124 | Restaurant sales may stay uneven (fuel costs, low-income consumer strain), but Starbucks is better positioned on execution and demand as investors separate strong operat... |
| 2026-08-18 | TD Cowen | Buy | $120 | Reiterated Buy $120 (also reiterated 2026-09-21, and in early Oct after reports of a possible Japan stake sale valuing that business at about $3B). |
| 2026-08-03 | Melius Research | Sell → Hold | $85→$110 | The comp recovery is now established (4 straight quarters of positive global comps) and profitability is starting to improve. |
| 2026-07-30 | BMO Capital Markets | Outperform | $120→$130 | Turnaround progress and 'more material margin expansion'. |
| 2026-07-30 | Wells Fargo | Overweight | $120→$125 | Post-Q3 raise after the beat on comps (+7.9%) and margin (14.4%). |
| 2026-07-30 | Morgan Stanley | Overweight | $111→$115 | Post-Q3 raise. |
| 2026-07-30 | Deutsche Bank | Buy | $120→$126 | Post-Q3 raise. |
| 2026-07-30 | Evercore ISI | Outperform | $115→$120 | Post-Q3 raise. |
| 2026-07-30 | Piper Sandler | Overweight | $110→$120 | Post-Q3 raise. |
| 2026-07-30 | Citi | Neutral | $108→$112 | Post-Q3 raise; |
| 2026-07-30 | Jefferies | Hold | $95→$101 | Post-Q3 raise. |
| 2026-07-30 | BNP Paribas Exane | Underperform | $87→$92 | Stays bearish after Q3. |
| 2026-07-30 | Baird | Outperform | $117→$124 | Post-Q3 raise. |
| 2026-05-14 | TD Cowen | Hold → Buy | $106→$120 | Two pillars: sales momentum (faster service, menu innovation, throughput) and margin recovery after labor investment. |

| | | | | |
|---|---|---|---|---|
| 2026-05-06 | Stifel | Buy | $115→$117 | Post-Q2. |
| 2026-04-29 | Bernstein | Outperform | $100 | Q2 global comps +6.2% and US +7.1%, both above consensus, and FY26 comp guidance raised to 5%+. |

*Table 10 — broker actions, Apr–Oct 2026.*

| Item | Wall Street | PRISM (this report) | Read |
|---|---|---|---|
| 12-month value | Avg **$111** (median $112; range $82–$143; 36–40 analysts) | Central **$70** today, **$75** in 12 months (range $58–$98) | **PRISM ~33% below the Street** |
| Implied return vs $90.75 | +23% | -18% (12m) plus ~2.8% dividend | Opposite signs |
| Rating skew | MarketBeat 23 Buy / 12 Hold / 5 Sell; S&P Global 15 Buy / 19 Hold / 2 Sell | Equivalent to **Underweight** on fundamentals; Morningstar ($89, 3 stars) sits between | Closest Street views: Redburn (Sell, $82), BNP Exane (Underperform, $92) |
| FY2026 non-GAAP EPS | $2.59 (guide $2.55–2.65) | In line. We do not dispute FY26. | **Agreement** |
| FY2027 EPS | $3.16 (+22%) | We use the yfinance forward $3.13 for comps; FY27 needs comps ≥3% *and* ~150bp of margin | Achievable, but it is priced |
| P/E the target implies | $111 ÷ $3.16 = **35.2× FY27** | Price is 28.7× FY27; PRISM central 22.2× vs peer median 20.8× | The Street pays a franchise premium on top of full recovery |
| Margin the price needs | Street: FY28 algorithm met or beaten (13.5–15% non-GAAP) | Reverse DCF: ~23% terminal GAAP margin at a 8.8% WACC | Main disagreement: the discount rate and terminal margin |
| Quality of comps | Bulls: traffic-led (+4.2% transactions) | CFO: about half of Q3 comp came from closed-store transfer and delivery | Supports caution on extrapolating +7.9% |
| Probability price ≥ Street avg in 12m | — | ~27% (driftless bootstrap Monte Carlo) | Option market: 37.1% implied vol to 2027-06-17 |

*Table 11 — Wall Street vs. PRISM, side by side.*

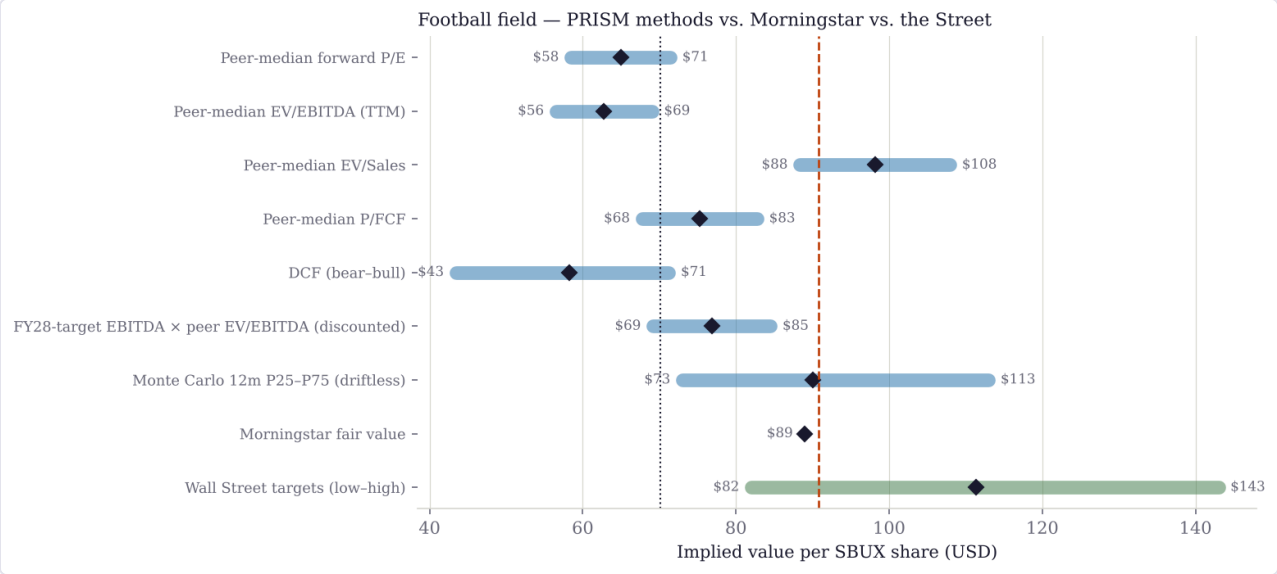



**Fig. 10.** Football field: PRISM methods (blue, ±10% bands; DCF bear–bull) vs. Morningstar and the Street range.

**Reconciling the gap.** We agree with the Street on what Starbucks will earn in FY26 and broadly on FY27. The disagreement is the price paid for it. The average target equals 35.2× FY27 EPS, above the 21× peer median and even today's 28.7×. That is consistent with a market that already capitalises the FY28 margin target and assumes a lower discount rate (~7.5%) than our 8.8%. If Q4 FY26 confirms an underlying margin ≥13% without tariff help, and FY27 comps hold above 3% while lapping the tax-refund boost, our base case moves toward the Bull DCF ($71) and the FY28 method ($77). The gap to Morningstar ($89) would then largely close.

## 9 · Technical read

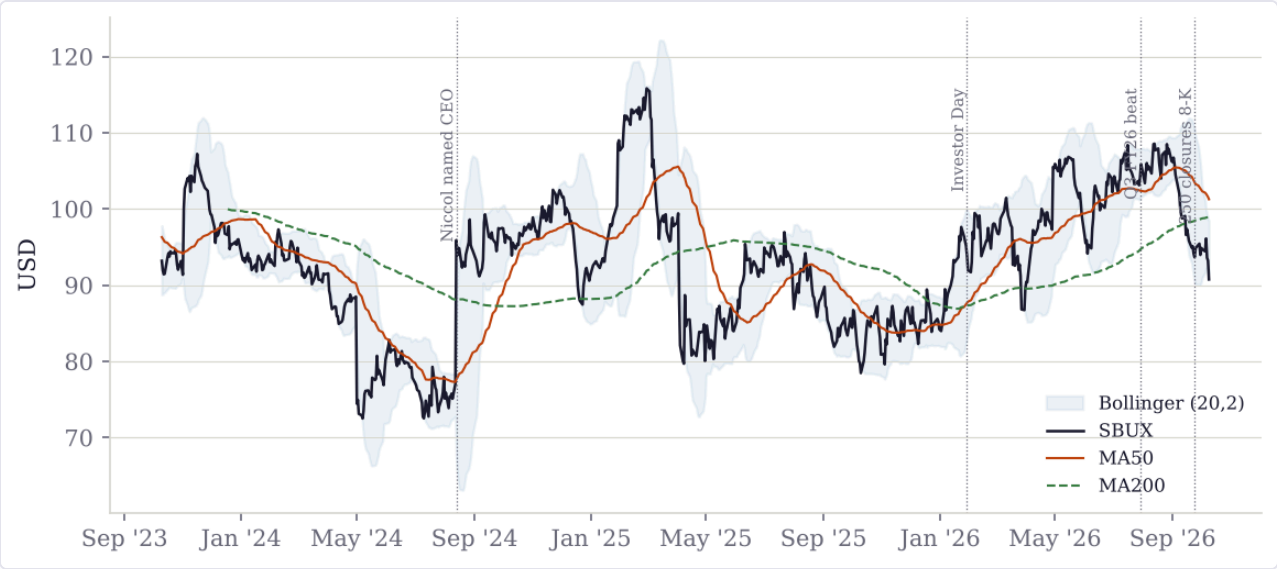



**Fig. 11.** Three-year price with MA50/MA200 and Bollinger bands, with catalyst markers.

| Indicator | Reading |
|---|---|
| MA50 / MA200 | $101.26 / $98.92. Price below both; the golden cross is about to roll over. |
| RSI(14) | 28.8 (oversold) |
| Bollinger %B | -12% (below the lower band $91.56) |
| 52-week range | $78.46–$108.55 (-16.4% off high) |
| Performance | YTD +7.8% · 1-year +13.8% |
| Realised vol (90d) / implied vol | 21.1% / 37.1% (ATM, 2027-06-17) |

*Table 12 — technical dashboard (9 Oct 2026 close).*

The post-Q3 high (~$108) has given back ~16%. The slide accelerated after the 24 Sep closure 8-K and the October Chipotle headlines. Being oversold below the lower Bollinger band into a results date usually means a sharp move either way; implied vol well above realised vol says the options market expects one.

## 10 · Price forecast (1 / 3 / 6 months): ETS, ARIMA & VAR

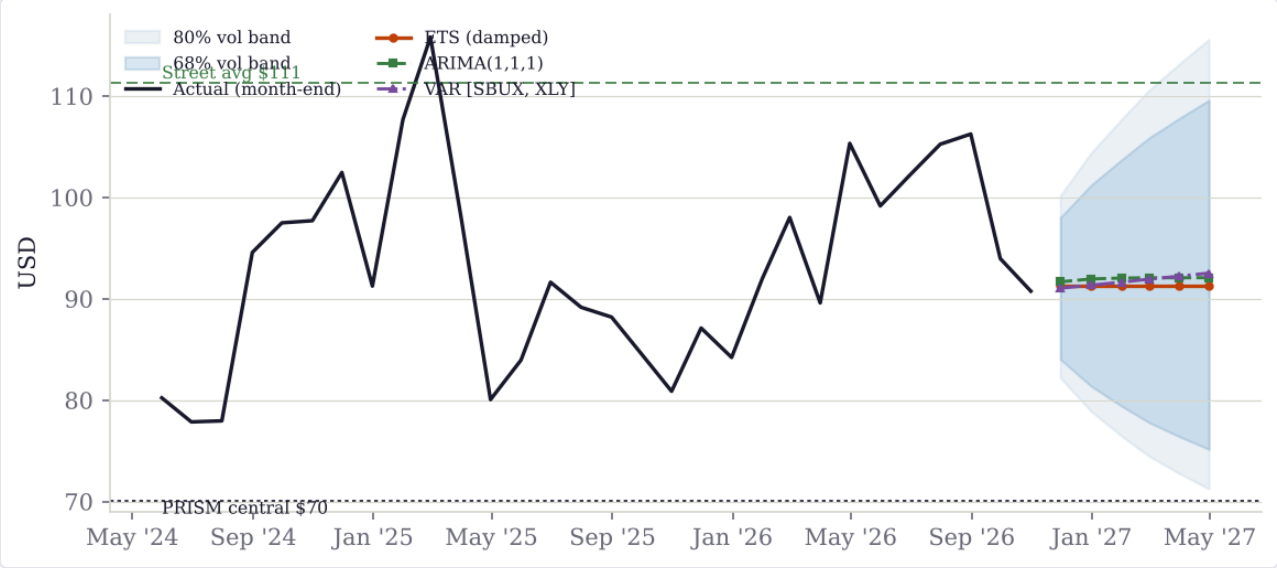



**Fig. 12.** ETS (damped trend), ARIMA(1,1,1) and a VAR on monthly log-returns of [SBUX, consumer-discretionary ETF XLY], with 68% and 80% volatility bands.

| Horizon | ETS | ARIMA | VAR | 68% vol band |
|---|---|---|---|---|
| 1 month | $91 | $92 | $91 | $84–$98 |
| 3 months | $91 | $92 | $92 | $79–$104 |

| | | | | |
|---|---|---|---|---|
| 6 months | $91 | $92 | $93 | $75–$110 |

*Table 13 — point forecasts and the 68% volatility band. Scenario anchors, not predictions.*

**Reading the models.** Ten years of SBUX prices are close to a random walk (ADF p = 0.166): the stock is roughly where it was in 2019. All three models project flat-to-slightly-up paths (~$91–93). The VAR selects 0 lags, so the consumer-discretionary ETF has no lead over SBUX. The useful output is the band: $75–$110 at six months. It contains both the Street's near-term path and our 12-month value only at its edges.

## 11 · Monte Carlo & events

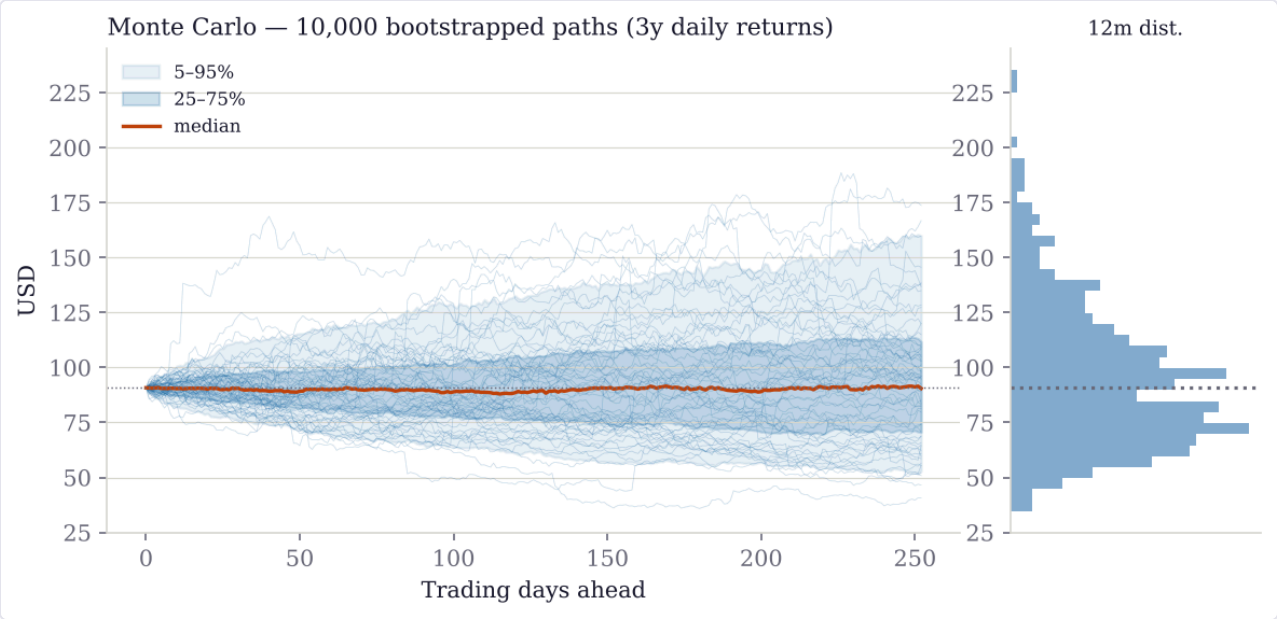



**Fig. 13.** 10,000 bootstrapped one-year paths from three years of daily returns.

| Horizon | P5 | P25 | Median | P75 | P95 | P(>current) |
|---|---|---|---|---|---|---|
| 6mo (with drift) | $63 | $78 | $91 | $105 | $133 | 50% |
| 12mo (with drift) | $54 | $72 | $90 | $112 | $155 | 49% |
| 6mo (driftless) | $63 | $78 | $91 | $106 | $133 | 50% |
| 12mo (driftless) | $54 | $73 | $90 | $113 | $156 | 49% |

*Table 14 — Monte Carlo percentiles (with drift and driftless).*

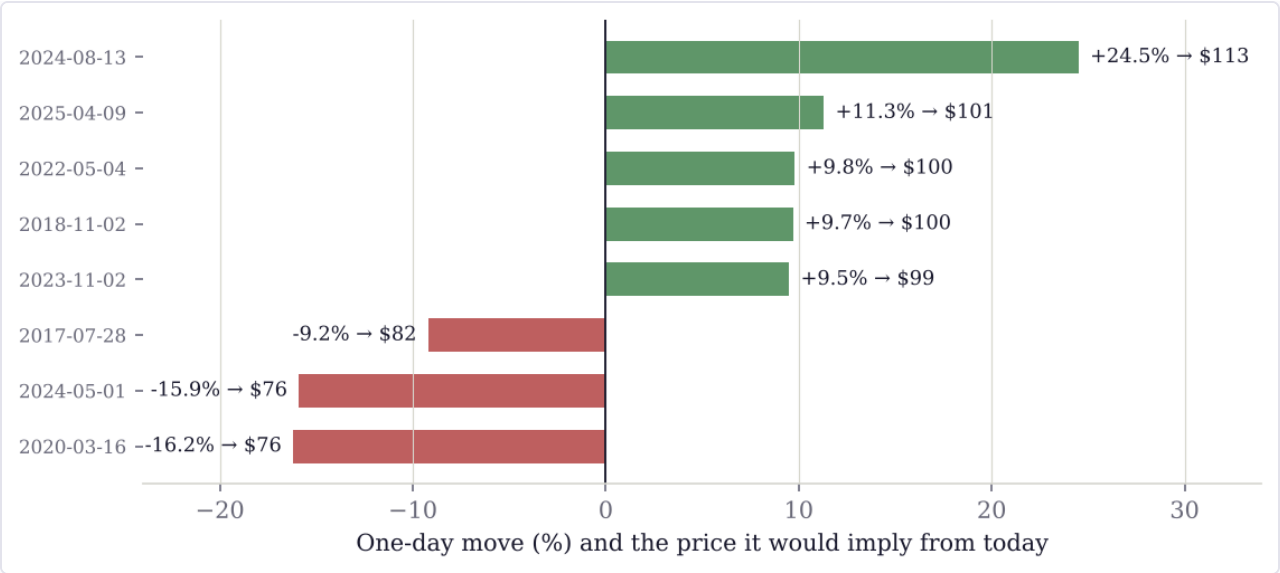



**Fig. 14.** SBUX's largest single-day moves over 10 years (one per 15-day window) and the price each would imply from today.

| Date | 1-day move | Likely catalyst | If repeated from $91 |
|---|---|---|---|
| 2020-03-16 | -16.2% | COVID-19 crash — global 'Black Monday' selloff | $76 |
| 2024-05-01 | -15.9% | Q2 FY24 miss: comps −4%, FY guidance cut | $76 |
| 2017-07-28 | -9.2% | Q3 FY17: weak comps; Teavana stores closed, China buy-in | $82 |
| 2023-11-02 | +9.5% | Q4 FY23 beat: record revenue, US comps +8% | $99 |
| 2018-11-02 | +9.7% | Q4 FY18 beat: US comps +3%, transactions turned positive | $100 |
| 2022-05-04 | +9.8% | Q2 FY22 beat despite withdrawn guidance (Schultz 'reinvention') | $100 |
| 2025-04-09 | +11.3% | US 90-day tariff pause — market relief rally | $101 |
| 2024-08-13 | +24.5% | Brian Niccol named CEO (from Chipotle) | $113 |

*Table 15 — the biggest SBUX price events. Attributions are analyst-reconstructed from the dates. Starbucks' tails are mostly earnings and leadership events, and the largest one-day move in ten years (+24.5%) was the Niccol hire. A repeat of the May 2024 miss (−15.9%) from today would imply ~$76.*

## 12 · Competitive landscape

US coffee is bifurcating. Dutch Bros (~16× EBITDA, rapid unit growth) and drive-thru specialists take share in the value and speed segment. McDonald's (McCafé) and convenience channels compete on price, and independents and premium chains hold the craft end. Starbucks' moats are scale, brand and the Rewards ecosystem (35.8m US 90-day active members), plus a vertically integrated green-coffee supply chain and the Nestlé Global Coffee Alliance in packaged coffee. Internationally, Luckin and Cotti drove the price war that pushed Starbucks into the China JV. Licensed partners (Alshaya, Tata, Jollibee) carry growth elsewhere. Against restaurant peers, Starbucks is a hybrid: company-operated economics like Chipotle or Darden (lower EV/Sales, higher capex), but with a franchisor-like valuation multiple.

## 13 · SWOT

**STRENGTHS**

- Global brand with ~41,300 stores and 35.8m US Rewards members
- Traffic-led comp recovery: four positive quarters, transactions +4.2%
- Vertically integrated coffee sourcing and roasting; Channel Development margin >50%
- Interest coverage 6.6–10×, at or above peers since FY23

**WEAKNESSES**

- Operating margin a third below peers (10.1% TTM vs 15.4%)
- FY25 dividend payout 149% of GAAP earnings; buybacks suspended
- Current ratio ~0.75 and a shareholders' deficit of −$7.7bn
- Labour model still being rebuilt, with no union contract

**OPPORTUNITIES**

- FY28 algorithm: 13.5–15% margin and $3.35–4.00 EPS
- Arabica deflation (record Brazil crop) in FY27 cost of goods
- Asset-light pivot: China JV royalties, possible Japan stake monetisation
- Throughput tech (order sequencing, mobile) and a refreshed food menu

**THREATS**

- Valuation de-rating if comps slow after FY27 lapping
- Union contract, strike and boycott escalation
- Consumer squeeze from Fed hikes and the oil shock
- Tariffs on equipment and packaging; state wage and EPR mandates

## 14 · Pairs trades to watch

Starbucks' story is relative: recovery versus a full multiple. **Long McDonald's / short Starbucks** captures the multiple gap (17× vs 29× forward) for comparable brand and cash returns. MCD is the asset-light franchisor with a 45% operating margin. **Long Starbucks / short Dutch Bros** is the

reverse: a bet that the incumbent's traffic recovery narrows BROS's growth premium. **Long Starbucks / short the consumer-discretionary ETF (XLY)** isolates the turnaround from the macro. It suits investors who agree with the Street on execution but want to hedge the consumer squeeze. All three should respect binary dates (29 Oct results; Chipotle headlines) and ~21% realised volatility (37% implied).

## 15 · Next steps

- Re-run after Q4 FY26 results (29 Oct): FY27 guide, closure charges, and the ex-tariff-refund margin run-rate.
- Build segment SOTP (North America, International licensed, Channel Development, 40% China JV stake) using 10-K segment profit.
- Model the union-contract scenario explicitly (wage and benefit step-up × union store share).
- Use consensus forward EBITDA for peers so the multiples lens is not distorted by trough TTM earnings.
- Track the comp mix (organic traffic vs closed-store transfer vs delivery) each quarter.
- Replace realised-vol bands with the option-implied cone around 29 Oct.

## 16 · References


1. Liu, J., Nissim, D., & Thomas, J. (2002). Equity Valuation Using Multiples. *Journal of Accounting Research*, 40(1), 135–172.
2. Bhojraj, S., & Lee, C. M. C. (2002). Who Is My Peer? A Valuation-Based Approach to the Selection of Comparable Firms. *Journal of Accounting Research*, 40(2), 407–439.
3. Alford, A. W. (1992). The Effect of the Set of Comparable Firms on the Accuracy of the Price-Earnings Valuation Method. *Journal of Accounting Research*, 30(1), 94–108.
4. Mauboussin, M. J., & Callahan, D. Valuation Multiples. *Counterpoint Global Insights*, Morgan Stanley Investment Management.
5. Ohlson, J. A. (1995). Earnings, Book Values, and Dividends in Equity Valuation. *Contemporary Accounting Research*, 11(2), 661–687.
6. Nissim, D., & Penman, S. H. (2003). Financial Statement Analysis of Leverage and How It Informs About Profitability and Price-to-Book Ratios. *Review of Accounting Studies*, 8, 531–560.
7. Koller, T., Goedhart, M., & Wessels, D. (2020). *Valuation: Measuring and Managing the Value of Companies* (7th ed.). Wiley.
8. Damodaran, A. (2012). *Investment Valuation* (3rd ed.). Wiley — DCF, reverse DCF and lease capitalisation.
9. Mauboussin, M. J., & Rappaport, A. (2001). *Expectations Investing*. Harvard Business School Press.
10. Fama, E. F. (1970). Efficient Capital Markets: A Review of Theory and Empirical Work. *The Journal of Finance*, 25(2), 383–417.
11. Boyle, P. P. (1977). Options: A Monte Carlo Approach. *Journal of Financial Economics*, 4(3), 323–338.

## ADDENDUM — FINANCIAL STATEMENT ANALYSIS & HEALTH CHECK (ANNUAL FY2022–FY2025 AND QUARTER-OVER-QUARTER)

This addendum applies the **finance:financial-statements** workflow. It shows statements in multi-column format with period-over-period dollar and percentage variance, scaled materiality thresholds, driver decomposition of material variances and key-metric summaries. As requested, it adds a **quarter-over-quarter (QoQ)** layer: the last five reported quarters (Q3 FY25 → Q3 FY26) with sequential and year-over-year variance, plus eleven quarters of operating KPIs from Starbucks' releases. Starbucks' fiscal year ends on the Sunday closest to 30 Sep; Q1 is Oct–Dec. Figures come from the standardised yfinance feed of Starbucks' GAAP statements ($m); KPIs come from company releases.

> **Verdict: stressed but stabilising.** FY2025 was the trough. GAAP operating margin halved to 7.9% (from 15.0%), net earnings fell 51% to $1.86bn, FCF dropped to $2.44bn, and dividends of $2.77bn exceeded FCF (113%). The QoQ data show the inflection. Gross margin recovered from 20.1% (Q2 FY26) to 24.6% (Q3 FY26); GAAP operating margin rose 8.7% → 10.5%; quarterly FCF went from $92m to $1.35bn; and $1.8bn of debt was retired from China proceeds. Liquidity is structurally thin but well funded (a current ratio of 0.8× is normal for a stored-value-card model). The −$7.7bn shareholders' deficit reflects $20bn+ of historical buybacks, not losses. The health risks are **margin durability** (one-off tariff refunds in Q3) and a **dividend that has outrun earnings**, not solvency.

| Dimension | Rating | Evidence |
|---|---|---|
| **Revenue & demand** | Amber → Green | Revenue: +11.6% (FY23), +0.6% (FY24), +2.8% (FY25). Global comps: −2% (Q3 FY25) → +7.9% (Q3 FY26). Q3 FY26 revenue −1.4% YoY, but only because of China deconsolidation. |
| **Profitability** | Red → Amber | GAAP operating margin 16.3% → 15.0% → 7.9% (FY23–25); quarterly 2.9% (Q4 FY25) → 9.0% → 8.7% → 10.5%. Non-GAAP 14.4% in Q3 FY26 includes tariff refunds (PRISM estimate ~200bp). |
| **Liquidity** | Amber | Current ratio 0.72–0.78× (peers ~1.2×). Cash $3.6bn at Q3 FY26, after dipping to $1.7bn in Q2 on seasonal working capital and debt repayment. Current deferred revenue (stored-value cards and loyalty, ~$1.8bn) acts as interest-free funding. |
| **Leverage & solvency** | Amber | Debt ex-leases $16.1bn (FY25) → $13.3bn (Q3 FY26). Net financial debt/EBITDA 2.4× (FY25), lease-inclusive 4.3×. Interest coverage 6.6× (FY25), still above the peer mean. |
| **Cash generation** | Amber → Green | FCF $2.56bn → $3.68bn → $3.32bn → $2.44bn (FY22–25); TTM $3.64bn at Q3 FY26. Capex cut from $2.78bn (FY24) to $2.31bn (FY25) and ~$1.2bn annualised in FY26. |
| **Capital allocation** | Amber | Dividends rose every year ($2.26bn → $2.77bn) while buybacks went from $4.0bn (FY22) to zero (FY25). China proceeds went to deleveraging. The dividend was raised to $0.63 on 7 Oct 2026. |

| | | |
|---|---|---|
| **Balance-sheet quality** | Green | Goodwill and intangibles fell from $3.5bn to $1.4bn after the China deconsolidation. Held-for-sale balances cleared, and the retained JV stake is ~$2.0bn of investments. |

*Table 16 — financial health scorecard (FY2022–FY2025 with QoQ trajectory into Q3 FY26).*

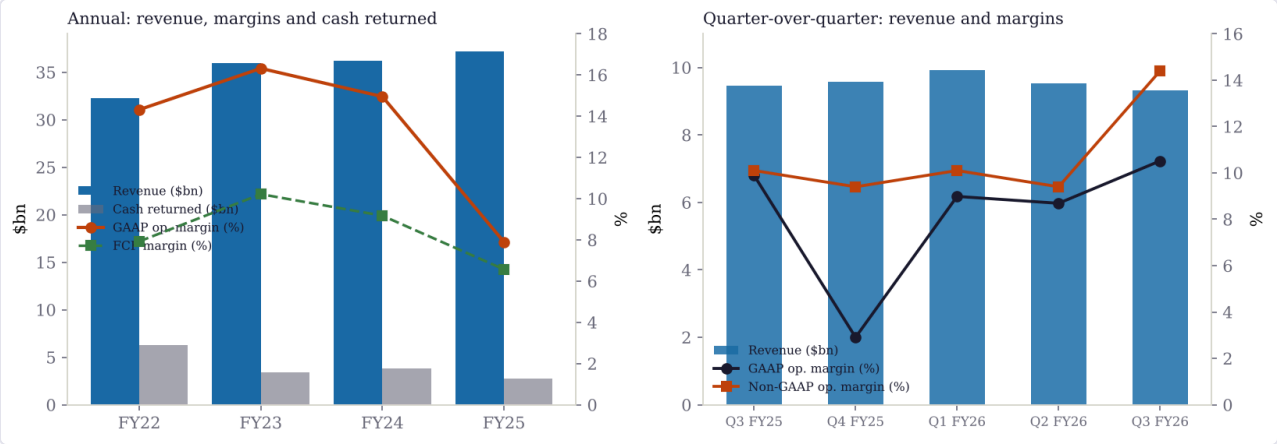



**Fig. 15.** Left: annual revenue, cash returned, GAAP operating margin and FCF margin. Right: quarterly revenue with GAAP and non-GAAP operating margin, Q3 FY25 → Q3 FY26.

## A.1 · Annual income statement

| Income statement ($m) | FY22 | FY23 | FY24 | FY25 | Δ FY23 vs FY22 | Δ FY24 vs FY23 | Δ FY25 vs FY24 |
|---|---|---|---|---|---|---|---|
| **Total net revenues** | **32,250** | **35,976** | **36,176** | **37,184** | **+3,725 / +12%** | **+201 / +1%** | **+1,008 / +3%** |
| Cost of revenue (product, distribution & store operating) | (23,879) | (26,129) | (26,467) | (28,717) | **-2,250 / -9%** | -338 / -1% | **-2,250 / -9%** |
| **Gross profit** | **8,371** | **9,846** | **9,709** | **8,467** | **+1,475 / +18%** | **-137 / -1%** | **-1,242 / -13%** |
| General & administrative | (2,032) | (2,441) | (2,523) | (2,617) | **-409 / -20%** | -82 / -3% | -94 / -4% |
| Depreciation & amortisation | (1,448) | (1,363) | (1,513) | (1,685) | +85 / +6% | **-150 / -11%** | **-172 / -11%** |
| Other operating expenses | (462) | (539) | (566) | (585) | **-78 / -17%** | -26 / -5% | -19 / -3% |
| Restructuring & impairments | (46) | (22) | -0 | (892) | +24 / +53% | +22 / +100% | -892 / n/m |
| Income from equity investees & other* | 234 | 390 | 301 | 248 | +156 / +66% | -89 / -23% | -53 / -18% |
| **Operating income (GAAP)** | **4,618** | **5,871** | **5,409** | **2,937** | **+1,253 / +27%** | **-462 / -8%** | **-2,472 / -46%** |
| Interest income | 97 | 81 | 123 | 113 | -16 / -16% | **+42 / +51%** | -10 / -8% |
| Interest expense | (483) | (550) | (562) | (543) | -67 / -14% | -12 / -2% | +19 / +3% |
| Gain on divestiture (China JV, Q3 FY26) | 0 | 0 | 0 | 0 | — | — | — |
| Other non-operating, net* | (0) | (0) | 0 | 0 | +0 / +0% | +0 / +140% | +0 / +50% |
| **Earnings before income taxes** | **4,232** | **5,402** | **4,970** | **2,507** | **+1,170 / +28%** | **-432 / -8%** | **-2,462 / -50%** |
| Income tax expense | (948) | (1,277) | (1,207) | (651) | **-329 / -35%** | +70 / +5% | **+557 / +46%** |

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| **Net earnings attributable to Starbucks** | **3,282** | **4,124** | **3,761** | **1,856** | **+843 / +26%** | **-364 / -9%** | **-1,904 / -51%** |
| Diluted EPS ($) | 2.83 | 3.58 | 3.31 | 1.63 | +0.75 / +26% | -0.28 / -8% | -1.68 / -51% |

*Table 17 — Starbucks consolidated statement of earnings, FY2022–FY2025 (fiscal years end late Sep/early Oct; $m; expenses in parentheses). Shaded Δ cells breach the materiality threshold (lines >$10bn: ≥$250m and ≥5%; $1–10bn: ≥$100m and ≥10%; <$1bn: ≥$25m and ≥15%). *Derived/balancing line.*

**Read.** Revenue compounded from $32.3bn to $37.2bn, but nearly all the growth came in FY23 (+11.6%); FY24–25 added under 3% a year as US traffic fell. Gross margin (after store operating costs) peaked at 27.4% in FY23 and fell to 22.8% in FY25, as the Green Apron labour investment and record coffee prices hit at the same time. FY25 restructuring of $892m took GAAP operating income down 46% to $2.94bn. G&A stayed ~7% of revenue throughout, so the margin problem was in the stores, not at headquarters.

## A.2 · Annual key metrics

| Metric | FY22 | FY23 | FY24 | FY25 | Δ latest |
|---|---|---|---|---|---|
| Gross margin (%) | 26.0 | 27.4 | 26.8 | 22.8 | -4.1pp |
| Operating margin, GAAP (%) | 14.3 | 16.3 | 15.0 | 7.9 | -7.1pp |
| G&A / revenue (%) | 6.3 | 6.8 | 7.0 | 7.0 | +0.1pp |
| Effective tax rate (%) | 22.4 | 23.6 | 24.3 | 25.9 | +1.7pp |
| Net margin (%) | 10.2 | 11.5 | 10.4 | 5.0 | -5.4pp |
| Current ratio (x) | 0.77 | 0.78 | 0.75 | 0.72 | -0.03 |
| Total debt ex-leases ($m) | 15,044 | 15,400 | 15,568 | 16,075 | +506 |
| Cash ($m) | 3,183 | 3,953 | 3,543 | 3,467 | -76 |
| Shareholders' deficit ($m) | -8,707 | -7,995 | -7,449 | -8,097 | -648 |
| FCF ($m) | 2,556 | 3,675 | 3,318 | 2,442 | -876 |
| FCF margin (%) | 7.9 | 10.2 | 9.2 | 6.6 | -2.6pp |
| Dividends / FCF (%) | 88.5 | 66.2 | 77.9 | 113.5 | +35.6pp |
| Revenue growth (%) | — | 11.6 | 0.6 | 2.8 | +2.2pp |

*Table 18 — annual key metrics (GAAP basis). Δ = FY25 vs FY24.*

## A.3 · Annual balance sheet

| Balance sheet ($m) | FY22 | FY23 | FY24 | FY25 | Δ FY23 vs FY22 | Δ FY24 vs FY23 | Δ FY25 vs FY24 |
|---|---|---|---|---|---|---|---|
| Cash & short-term investments | 3,183 | 3,953 | 3,543 | 3,467 | +770 / +24% | -410 / -10% | -76 / -2% |

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| Accounts receivable | 1,176 | 1,184 | 1,214 | 1,278 | +9 / +1% | +30 / +3% | +64 / +5% |
| Inventories | 2,177 | 1,806 | 1,777 | 2,186 | -370 / -17% | -29 / -2% | +408 / +23% |
| Prepaid, held-for-sale & other current* | 484 | 360 | 313 | 452 | -124 / -26% | -47 / -13% | +139 / +44% |
| **Total current assets** | **7,019** | **7,303** | **6,847** | **7,382** | **+285 / +4%** | **-456 / -6%** | **+535 / +8%** |
| Property, plant & equipment incl. lease ROU assets, net | 14,576 | 15,800 | 17,952 | 17,809 | +1,224 / +8% | +2,152 / +14% | -142 / -1% |
| Goodwill & intangibles | 3,439 | 3,339 | 3,417 | 3,536 | -101 / -3% | +78 / +2% | +119 / +3% |
| Equity-method & other investments | 590 | 687 | 740 | 713 | +97 / +16% | +53 / +8% | -27 / -4% |
| Deferred tax & other assets* | 2,354 | 2,316 | 2,384 | 2,579 | -38 / -2% | +67 / +3% | +196 / +8% |
| **Total assets** | **27,978** | **29,446** | **31,339** | **32,020** | **+1,467 / +5%** | **+1,894 / +6%** | **+680 / +2%** |
| Accounts payable | 1,441 | 1,544 | 1,596 | 1,853 | +103 / +7% | +51 / +3% | +257 / +16% |
| Accrued liabilities & other payables | 2,666 | 2,740 | 2,737 | 3,171 | +73 / +3% | -3 / -0% | +434 / +16% |
| Current debt | 1,924 | 1,852 | 1,249 | 1,499 | -72 / -4% | -603 / -33% | +250 / +20% |
| Current operating lease liabilities | 1,246 | 1,275 | 1,463 | 1,564 | +30 / +2% | +188 / +15% | +101 / +7% |
| Deferred revenue (loyalty, cards), current | 1,642 | 1,700 | 1,781 | 1,841 | +58 / +4% | +81 / +5% | +59 / +3% |
| Other current liabilities* | 232 | 233 | 244 | 282 | +1 / +1% | +11 / +5% | +38 / +16% |
| **Total current liabilities** | **9,152** | **9,345** | **9,070** | **10,210** | **+194 / +2%** | **-275 / -3%** | **+1,140 / +13%** |
| Long-term debt | 13,120 | 13,548 | 14,320 | 14,576 | +428 / +3% | +772 / +6% | +256 / +2% |
| Operating lease liabilities, non-current | 7,515 | 7,925 | 8,772 | 8,972 | +410 / +5% | +847 / +11% | +201 / +2% |
| Deferred revenue, non-current (Nestlé) | 6,280 | 6,102 | 5,964 | 5,773 | -178 / -3% | -138 / -2% | -191 / -3% |
| Other non-current liabilities* | 610 | 514 | 656 | 578 | -97 / -16% | +142 / +28% | -78 / -12% |
| **Total liabilities** | **36,677** | **37,433** | **38,781** | **40,109** | **+756 / +2%** | **+1,348 / +4%** | **+1,328 / +3%** |
| **Shareholders' equity (deficit)** | **(8,707)** | **(7,995)** | **(7,449)** | **(8,097)** | **+712 / +8%** | **+546 / +7%** | **-648 / -9%** |
| **Total liabilities & equity (ex-NCI)** | **27,970** | **29,439** | **31,332** | **32,012** | **+1,468 / +5%** | **+1,893 / +6%** | **+680 / +2%** |

*Table 19 — Consolidated balance sheet at fiscal year-end ($m). *Derived balancing line.*

## A.4 · Annual cash flow

| Cash flow statement ($m) | FY22 | FY23 | FY24 | FY25 | Δ FY23 vs FY22 | Δ FY24 vs FY23 | Δ FY25 vs FY24 |
|---|---|---|---|---|---|---|---|
| Net earnings | 3,283 | 4,125 | 3,762 | 1,857 | +841 / +26% | -362 / -9% | -1,906 / -51% |
| Depreciation & amortisation | 1,529 | 1,450 | 1,592 | 1,772 | -79 / -5% | +142 / +10% | +179 / +11% |
| Other non-cash items* | 1,718 | 1,567 | 1,790 | 2,614 | -150 / -9% | +223 / +14% | +824 / +46% |
| Change in working capital | (2,133) | (1,133) | (1,049) | (1,494) | +1,000 / +47% | +85 / +7% | -446 / -42% |
| **Net cash from operating activities** | **4,397** | **6,009** | **6,096** | **4,748** | **+1,611 / +37%** | **+87 / +1%** | **-1,348 / -22%** |
| Capital expenditures | (1,841) | (2,334) | (2,778) | (2,306) | -492 / -27% | -444 / -19% | +472 / +17% |
| Divestiture proceeds (China JV) | 59 | 0 | 0 | (177) | -59 / -100% | — | -177 / n/m |
| Other investing* | (364) | 63 | 78 | (3) | +427 / +117% | +16 / +25% | -81 / -104% |

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| **Net cash from investing activities** | **(2,146)** | **(2,271)** | **(2,699)** | **(2,485)** | -124 / -6% | -428 / -19% | +214 / +8% |
| Debt issued | 1,710 | 1,612 | 2,119 | 1,751 | -97 / -6% | +507 / +31% | -368 / -17% |
| Debt repaid | (1,037) | (1,254) | (1,983) | (1,258) | -217 / -21% | -729 / -58% | +725 / +37% |
| Dividends paid | (2,263) | (2,432) | (2,585) | (2,771) | -168 / -7% | -153 / -6% | -186 / -7% |
| Share repurchases | (4,013) | (984) | (1,267) | 0 | +3,029 / +75% | -282 / -29% | +1,267 / +100% |
| Other financing* | (35) | 67 | (3) | (20) | +102 / +293% | -70 / -104% | -17 / -557% |
| **Net cash from financing activities** | **(5,638)** | **(2,991)** | **(3,718)** | **(2,298)** | +2,647 / +47% | -728 / -24% | +1,420 / +38% |
| FX & other* | 0 | 0 | (0) | 0 | +0 / n/m | -0 / -300% | +0 / +150% |
| **Net change in cash** | **(3,387)** | **747** | **(322)** | **(36)** | +4,134 / +122% | -1,069 / -143% | +286 / +89% |
| **Free cash flow (CFO − capex)** | **2,556** | **3,675** | **3,318** | **2,442** | +1,119 / +44% | -357 / -10% | -876 / -26% |

*Table 20 — Consolidated statement of cash flows, indirect method ($m). *Derived balancing line.*

**Read.** Operating cash flow fell from $6.1bn (FY24) to $4.7bn (FY25). Starbucks cut capex by $470m but still paid out more in dividends ($2.77bn) than it generated in FCF ($2.44bn). The gap was funded by $0.5bn of net new debt. Buybacks ($4.0bn in FY22) were suspended after Q1 FY24.

## A.5 · Quarter-over-quarter (QoQ) analysis NEW

The QoQ view captures the turnaround as it happens. **Sequentially**, Q3 FY26 revenue fell 2.2% to $9.32bn as China retail left the consolidation on 2 Apr. Gross profit still rose $382m (+20%) and gross margin jumped 450bp to 24.6%, on leverage from +7.9% comps, lower coffee costs and IEEPA tariff refunds. GAAP operating income rose 18% to $980m despite $303m of restructuring and impairment charges under the May 2026 plan. Net earnings doubled to $1.05bn, helped by the $536m China gain. **Year over year** (Q3 FY26 vs Q3 FY25), GAAP operating margin improved 60bp to 10.5% and non-GAAP margin 430bp to 14.4%. Quarterly FCF tripled to $1.35bn and debt ex-leases fell $4.0bn. The QoQ pattern also shows the seasonality to normalise for: Q2 (Jan–Mar) is the weakest cash quarter, as holiday-card float unwinds and incentive and tax payments fall due.

| Quarterly income statement ($m) | Q3 FY25 | Q4 FY25 | Q1 FY26 | Q2 FY26 | Q3 FY26 | Δ Q4 FY25 vs Q3 FY25 | Δ Q1 FY26 vs Q4 FY25 | Δ Q2 FY26 vs Q1 FY26 | Δ Q3 FY26 vs Q2 FY26 | YoY Q3 FY26 vs Q3 FY25 |
|---|---|---|---|---|---|---|---|---|---|---|
| **Total net revenues** | **9,456** | **9,569** | **9,915** | **9,532** | **9,323** | **+113 / +1%** | **+346 / +4%** | **-384 / -4%** | **-209 / -2%** | **-1%** |
| Cost of revenue (product, distribution & store operating) | (7,300) | (7,406) | (7,826) | (7,617) | (7,026) | -106 / -1% | -420 / -6% | +209 / +3% | +591 / +8% | **+4%** |
| **Gross profit** | **2,156** | **2,163** | **2,089** | **1,914** | **2,297** | **+7 / +0%** | **-73 / -3%** | **-175 / -8%** | **+382 / +20%** | **+7%** |
| General & administrative | (677) | (642) | (639) | (618) | (599) | +35 / +5% | +3 / +0% | +21 / +3% | +19 / +3% | **+12%** |

| | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| Depreciation & amortisation | (428) | (431) | (401) | (363) | (362) | -3 / -1% | +30 / +7% | +38 / +9% | +2 / +0% | **+15%** |
| Other operating expenses | (152) | (142) | (131) | (130) | (132) | +10 / +6% | +11 / +7% | +1 / +1% | -1 / -1% | **+13%** |
| Restructuring & impairments | (21) | (755) | (88) | (25) | (303) | **-734 / n/m** | **+667 / +88%** | **+63 / +72%** | **-278 / n/m** | **n/m** |
| Income from equity investees & other* | 57 | 85 | 61 | 51 | 79 | +28 / +49% | -25 / -29% | -10 / -16% | +28 / +55% | **+38%** |
| **Operating income (GAAP)** | **936** | **278** | **891** | **828** | **980** | **-657 / -70%** | **+613 / +220%** | **-63 / -7%** | **+152 / +18%** | **+5%** |
| Interest income | 26 | 32 | 13 | 37 | 37 | +6 / +23% | **-18 / -59%** | **+24 / +185%** | +0 / +1% | **+45%** |
| Interest expense | (142) | (146) | (139) | (137) | (135) | -4 / -2% | +7 / +5% | +2 / +1% | +2 / +2% | **+5%** |
| Gain on divestiture (China JV, Q3 FY26) | 0 | 0 | 0 | 0 | 536 | — | — | — | +536 / n/m | — |
| Other non-operating, net* | (0) | 0 | 0 | 0 | 0 | +0 / +200% | -0 / -100% | — | — | **+100%** |
| **Earnings before income taxes** | **819** | **164** | **765** | **728** | **1,419** | **-655 / -80%** | **+601 / +367%** | **-37 / -5%** | **+691 / +95%** | **+73%** |
| Income tax expense | (260) | (31) | (472) | (217) | (374) | **+230 / +88%** | **-441 / n/m** | **+254 / +54%** | **-157 / -72%** | **-44%** |
| **Net earnings attributable to Starbucks** | **558** | **133** | **293** | **511** | **1,045** | **-425 / -76%** | **+160 / +120%** | **+218 / +74%** | **+534 / +105%** | **+87%** |
| Diluted EPS ($) | 0.49 | 0.12 | 0.26 | 0.45 | 0.91 | -0.37 / -76% | +0.14 / +120% | +0.19 / +74% | +0.47 / +104% | **+87%** |

*Table 21 — Quarterly statement of earnings, Q3 FY25 → Q3 FY26 ($m). Δ columns are sequential quarter-over-quarter (QoQ); the last column is year-over-year for the latest quarter. Quarterly materiality thresholds are half the annual dollar thresholds. Q3 FY26 includes the $536m China JV gain and $303m restructuring; China retail was deconsolidated from 2 Apr 2026.*

| Metric | Q3 FY25 | Q4 FY25 | Q1 FY26 | Q2 FY26 | Q3 FY26 | Δ latest |
|---|---|---|---|---|---|---|
| Gross margin (%) | 22.8 | 22.6 | 21.1 | 20.1 | 24.6 | +4.6pp |
| Operating margin, GAAP (%) | 9.9 | 2.9 | 9.0 | 8.7 | 10.5 | +1.8pp |
| G&A / revenue (%) | 7.2 | 6.7 | 6.4 | 6.5 | 6.4 | -0.1pp |
| Effective tax rate (%) | 31.8 | 18.7 | 61.7 | 29.8 | 26.4 | -3.5pp |
| Net margin (%) | 5.9 | 1.4 | 3.0 | 5.4 | 11.2 | +5.9pp |
| Current ratio (x) | 0.76 | 0.72 | 1.05 | 0.92 | 0.76 | -0.16 |
| Total debt ex-leases ($m) | 17,319 | 16,075 | 16,080 | 15,082 | 13,279 | -1,803 |
| Cash ($m) | 4,506 | 3,467 | 3,598 | 1,700 | 3,610 | +1,910 |
| Shareholders' deficit ($m) | -7,686 | -8,097 | -8,389 | -8,465 | -7,674 | +791 |
| FCF ($m) | 434 | 926 | 1,274 | 92 | 1,350 | +1,259 |
| FCF margin (%) | 4.6 | 9.7 | 12.8 | 1.0 | 14.5 | +13.5pp |
| Dividends / FCF (%) | 159.6 | 74.9 | 55.3 | 769.4 | 52.3 | -717.1pp |

*Table 22 — quarterly key metrics (GAAP basis). Δ = Q3 FY26 vs Q2 FY26 (QoQ). Quarterly tax rates are distorted by discrete items (China JV, restructuring).*

| KPI | Q1 FY24 | Q2 FY24 | Q3 FY24 | Q4 FY24 | Q1 FY25 | Q2 FY25 | Q3 FY25 | Q4 FY25 | Q1 FY26 | Q2 FY26 | Q3 FY26 | QoQ Δ |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Net revenues ($m) | 9,425 | 8,563 | 9,114 | 9,074 | 9,398 | 8,762 | 9,456 | 9,569 | 9,915 | 9,532 | 9,323 | **-209** |
| Global comps (%) | 5.0 | -4.0 | -3.0 | -7.0 | -4.0 | -1.0 | -2.0 | 1.0 | 4.0 | 6.2 | 7.9 | **+1.7pp** |
| transactions (%) | 3.0 | -6.0 | -5.0 | -8.0 | -6.0 | -2.0 | -2.0 | 1.0 | 3.0 | 3.8 | 4.2 | **+0.4pp** |
| ticket (%) | 2.0 | 2.0 | 2.0 | 2.0 | 3.0 | 1.0 | 1.0 | — | 1.0 | 2.3 | 3.5 | **+1.2pp** |
| US comps (%) | 5.0 | -3.0 | -2.0 | -6.0 | -4.0 | -2.0 | -2.0 | 0.0 | 4.0 | 7.1 | 7.9 | **+0.8pp** |
| International comps (%) | 7.0 | -6.0 | -7.0 | -9.0 | -4.0 | 2.0 | 0.0 | 3.0 | 5.0 | 2.6 | 5.7 | **+3.1pp** |
| GAAP op. margin (%) | 15.8 | 12.8 | 16.7 | 14.4 | 11.9 | 6.9 | 9.9 | 2.9 | 9.0 | 8.7 | 10.5 | **+1.8pp** |
| Non-GAAP op. margin (%) | 15.8 | 12.8 | 16.7 | 14.4 | 11.9 | 8.2 | 10.1 | 9.4 | 10.1 | 9.4 | 14.4 | **+5.0pp** |
| North America seg. margin (%) | 21.4 | 18.0 | 21.0 | 18.7 | 16.7 | 11.6 | 13.3 | 4.5 | 11.9 | 9.9 | 13.6 | **+3.7pp** |
| International seg. margin (%) | 13.1 | 13.3 | 15.6 | 14.9 | 12.7 | 11.6 | 13.6 | 10.8 | 13.7 | 19.4 | 19.1 | **-0.3pp** |
| Channel Dev. seg. margin (%) | 46.8 | 51.7 | 53.7 | 56.9 | 47.7 | 47.3 | 45.1 | 48.9 | 41.3 | 40.5 | 52.1 | **+11.6pp** |
| GAAP EPS ($) | 0.90 | 0.68 | 0.93 | 0.80 | 0.69 | 0.34 | 0.49 | 0.12 | 0.26 | 0.45 | 0.91 | **+0.46** |
| Non-GAAP EPS ($) | 0.90 | 0.68 | 0.93 | 0.80 | 0.69 | 0.41 | 0.50 | 0.52 | 0.56 | 0.50 | 0.85 | **+0.35** |
| Stores, ending | 38,587 | 38,951 | 39,477 | 40,199 | 40,576 | 40,789 | 41,097 | 40,990 | 41,118 | 41,129 | 41,304 | **+175** |
| US Rewards 90-day active (m) | 34.3 | 32.8 | 33.8 | 33.8 | 34.6 | 34.2 | 33.9 | 34.2 | 35.5 | 35.6 | 35.8 | **+0.2** |
| Restructuring & impairments ($m) | 0 | 0 | 0 | 0 | 0 | 116 | 21 | 755 | 88 | 25 | 303 | **+278** |

*Table 23 — operating KPIs by quarter from Starbucks' earnings releases (Q1 FY24–Q3 FY26), with the latest QoQ change. Comps before Q2 FY26 were reported in whole percentages.*

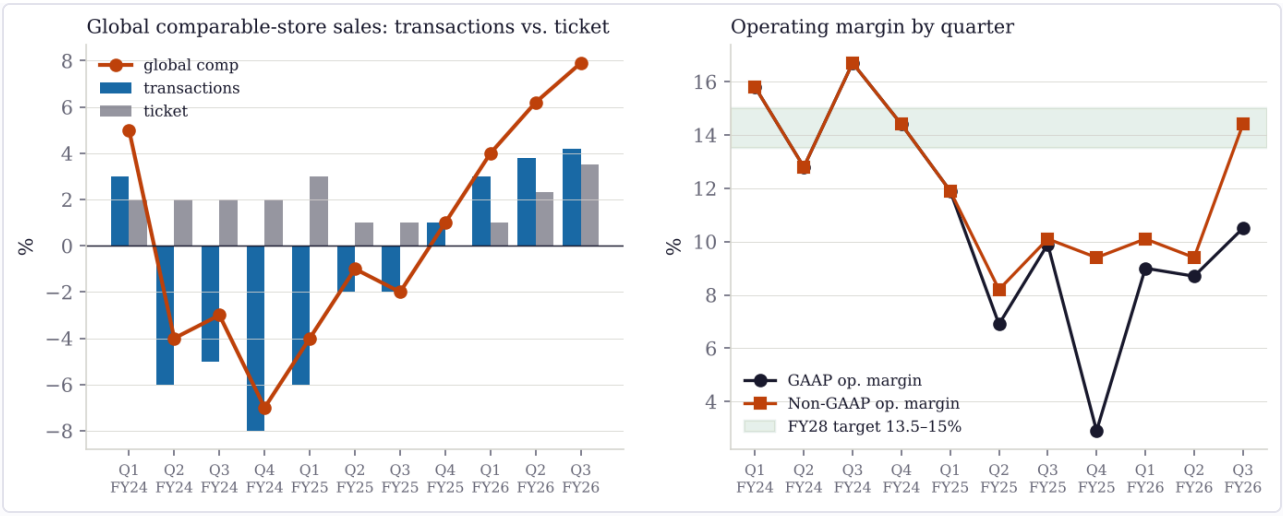



**Fig. 16.** Eleven quarters of global comps (split into transactions and ticket) and operating margin. The FY28 target band (13.5–15% non-GAAP) is shaded.

| Quarterly balance sheet ($m) | Q3 FY25 | Q4 FY25 | Q1 FY26 | Q2 FY26 | Q3 FY26 | Δ Q4 FY25 vs Q3 FY25 | Δ Q1 FY26 vs Q4 FY25 | Δ Q2 FY26 vs Q1 FY26 | Δ Q3 FY26 vs Q2 FY26 | YoY Q3 FY26 vs Q3 FY25 |
|---|---|---|---|---|---|---|---|---|---|---|
| Cash & short-term investments | 4,506 | 3,467 | 3,598 | 1,700 | 3,610 | **-1,039 / -23%** | +131 / +4% | **-1,898 / -53%** | **+1,910 / +112%** | **-20%** |
| Accounts receivable | 1,243 | 1,278 | 1,219 | 1,289 | 1,304 | +35 / +3% | -58 / -5% | +70 / +6% | +15 / +1% | **+5%** |
| Inventories | 2,259 | 2,186 | 2,114 | 2,158 | 2,209 | -74 / -3% | -71 / -3% | +43 / +2% | +51 / +2% | **-2%** |
| Prepaid, held-for-sale & other current* | 414 | 452 | 5,091 | 5,412 | 411 | +38 / +9% | +4,638 / n/m | +322 / +6% | -5,001 / -92% | **-1%** |
| **Total current assets** | **8,422** | **7,382** | **12,023** | **10,559** | **7,534** | **-1,039 / -12%** | **+4,640 / +63%** | **-1,463 / -12%** | **-3,025 / -29%** | **-11%** |
| Property, plant & equipment incl. lease ROU assets, net | 18,475 | 17,809 | 15,628 | 15,378 | 14,973 | -666 / -4% | **-2,182 / -12%** | -250 / -2% | -406 / -3% | **-19%** |
| Goodwill & intangibles | 3,554 | 3,536 | 1,478 | 1,471 | 1,411 | -19 / -1% | **-2,057 / -58%** | -7 / -0% | -60 / -4% | **-60%** |
| Equity-method & other investments | 718 | 713 | 720 | 789 | 2,013 | -5 / -1% | +7 / +1% | +69 / +10% | **+1,224 / +155%** | **+180%** |
| Deferred tax & other assets* | 2,480 | 2,579 | 2,379 | 2,360 | 2,364 | +99 / +4% | -200 / -8% | -20 / -1% | +4 / +0% | **-5%** |
| **Total assets** | **33,649** | **32,020** | **32,228** | **30,558** | **28,295** | **-1,629 / -5%** | **+209 / +1%** | **-1,671 / -5%** | **-2,263 / -7%** | **-16%** |
| Accounts payable | 1,888 | 1,853 | 1,682 | 1,674 | 1,777 | -35 / -2% | -171 / -9% | -8 / -0% | +103 / +6% | **-6%** |
| Accrued liabilities & other payables | 2,819 | 3,171 | 2,750 | 2,604 | 3,097 | **+353 / +13%** | **-421 / -13%** | -146 / -5% | **+492 / +19%** | **+10%** |
| Current debt | 2,748 | 1,499 | 1,500 | 1,998 | 1,498 | **-1,249 / -45%** | +1 / +0% | **+498 / +33%** | **-499 / -25%** | **-45%** |

| | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| Current operating lease liabilities | 1,496 | 1,564 | 1,343 | 1,301 | 1,271 | +68 / +5% | **-222 / -14%** | -42 / -3% | -30 / -2% | **-15%** |
| Deferred revenue (loyalty, cards), current | 1,911 | 1,841 | 2,122 | 1,829 | 1,818 | -71 / -4% | **+281 / +15%** | **-293 / -14%** | -11 / -1% | **-5%** |
| Other current liabilities* | 280 | 282 | 2,090 | 2,043 | 455 | +3 / +1% | +1,808 / +640% | -47 / -2% | -1,588 / -78% | **+63%** |
| **Total current liabilities** | **11,142** | **10,210** | **11,487** | **11,449** | **9,917** | **-932 / -8%** | **+1,276 / +12%** | **-37 / -0%** | **-1,532 / -13%** | **-11%** |
| Long-term debt | 14,571 | 14,576 | 14,581 | 13,084 | 11,780 | +5 / +0% | +5 / +0% | **-1,497 / -10%** | **-1,304 / -10%** | **-19%** |
| Operating lease liabilities, non-current | 9,071 | 8,972 | 8,048 | 8,008 | 7,884 | -98 / -1% | **-925 / -10%** | -39 / -0% | -124 / -2% | **-13%** |
| Deferred revenue, non-current (Nestlé) | 5,826 | 5,773 | 5,748 | 5,679 | 5,632 | -54 / -1% | -25 / -0% | -69 / -1% | -46 / -1% | **-3%** |
| Other non-current liabilities* | 718 | 578 | 746 | 795 | 748 | -140 / -20% | +169 / +29% | +48 / +6% | -47 / -6% | **+4%** |
| **Total liabilities** | **41,328** | **40,109** | **40,610** | **39,015** | **35,962** | **-1,219 / -3%** | **+501 / +1%** | **-1,594 / -4%** | **-3,053 / -8%** | **-13%** |
| **Shareholders' equity (deficit)** | **(7,686)** | **(8,097)** | **(8,389)** | **(8,465)** | **(7,674)** | **-411 / -5%** | **-292 / -4%** | **-76 / -1%** | **+791 / +9%** | **+0%** |
| **Total liabilities & equity (ex-NCI)** | **33,642** | **32,012** | **32,221** | **30,550** | **28,288** | **-1,630 / -5%** | **+209 / +1%** | **-1,671 / -5%** | **-2,263 / -7%** | **-16%** |

*Table 24 — Quarter-end balance sheets ($m). Q1–Q2 FY26 carry China assets as held-for-sale within current assets.*

| Quarterly cash flow ($m) | Q3 FY25 | Q4 FY25 | Q1 FY26 | Q2 FY26 | Q3 FY26 | Δ Q4 FY25 vs Q3 FY25 | Δ Q1 FY26 vs Q4 FY25 | Δ Q2 FY26 vs Q1 FY26 | Δ Q3 FY26 vs Q2 FY26 | YoY Q3 FY26 vs Q3 FY25 |
|---|---|---|---|---|---|---|---|---|---|---|
| Net earnings | 558 | 133 | 293 | 511 | 1,045 | **-425 / -76%** | **+160 / +120%** | **+218 / +74%** | **+534 / +105%** | **+87%** |
| Depreciation & amortisation | 448 | 456 | 432 | 389 | 390 | +8 / +2% | -24 / -5% | -43 / -10% | +0 / +0% | **-13%** |
| Other non-cash items* | 473 | 1,060 | 931 | 444 | 9 | +587 / +124% | -129 / -12% | -487 / -52% | -436 / -98% | **-98%** |
| Change in working capital | (477) | (267) | (58) | (980) | 199 | **+210 / +44%** | **+209 / +78%** | **-921 / n/m** | **+1,178 / +120%** | **+142%** |
| **Net cash from operating activities** | **1,002** | **1,382** | **1,598** | **364** | **1,642** | **+380 / +38%** | **+216 / +16%** | **-1,233 / -77%** | **+1,277 / +350%** | **+64%** |
| Capital expenditures | (567) | (456) | (324) | (273) | (291) | **+111 / +20%** | **+132 / +29%** | **+51 / +16%** | -19 / -7% | **+49%** |
| Divestiture proceeds (China JV) | 0 | 0 | 0 | 0 | 2,544 | — | — | — | +2,544 / n/m | — |
| Other investing* | (28) | 66 | 1 | (58) | (29) | +94 / +331% | -65 / -99% | -58 / n/m | +29 / +50% | **-3%** |
| **Net cash from investing activities** | **(596)** | **(390)** | **(323)** | **(330)** | **2,224** | **+205 / +34%** | **+68 / +17%** | **-8 / -2%** | **+2,554 / +773%** | **+473%** |
| Debt issued | 1,750 | 0 | 2 | 0 | 0 | **-1,750 / -100%** | +2 / n/m | -2 / -100% | — | **-100%** |

| | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| Debt repaid | (2) | (1,250) | 0 | (1,000) | (1,816) | -1,248 / n/m | +1,250 / +100% | -1,000 / n/m | -816 / -82% | n/m |
| Dividends paid | (693) | (693) | (705) | (706) | (707) | -0 / -0% | -12 / -2% | -1 / -0% | -0 / -0% | -2% |
| Share repurchases | 0 | 0 | 0 | 0 | 0 | — | — | — | — | — |
| Other financing* | 2 | 10 | (40) | 17 | 11 | +9 / +453% | -51 / -485% | +57 / +141% | -6 / -35% | +474% |
| **Net cash from financing activities** | **1,056** | **(1,933)** | **(743)** | **(1,690)** | **(2,512)** | **-2,989 / -283%** | **+1,190 / +62%** | **-947 / -127%** | **-822 / -49%** | **-338%** |
| FX & other* | 0 | (0) | (0) | 0 | 0 | -0 / n/m | +0 / +50% | +0 / +100% | — | — |
| **Net change in cash** | **1,462** | **(942)** | **532** | **(1,656)** | **1,354** | **-2,404 / -164%** | **+1,473 / +156%** | **-2,187 / -411%** | **+3,010 / +182%** | **-7%** |
| **Free cash flow (CFO – capex)** | **434** | **926** | **1,274** | **92** | **1,350** | **+491 / +113%** | **+348 / +38%** | **-1,182 / -93%** | **+1,259 / n/m** | **+211%** |

*Table 25 — Quarterly cash flows ($m). Q3 FY26 investing inflow includes ~$2.54bn China JV proceeds; financing includes ~$1.8bn of debt retired.*

## A.6 · Material variance listing (annual and QoQ)

| Statement | Line | Period | Δ $m | Δ % | Dir. | Driver | Explanation | Nature |
|---|---|---|---|---|---|---|---|---|
| Income statement | Total net revenues | FY23 vs FY22 | +3,725 | +12% | — | Volume + price | Post-COVID reopening (China) and pricing; comps +8%. | Trend |
| Income statement | Cost of revenue (product, distribution & store operating) | FY25 vs FY24 | -2,250 | -9% | — | Labour + coffee | Green Apron labour investment (~$500m), higher arabica and tariff costs. | Partly reversing |
| Income statement | Gross profit | FY25 vs FY24 | -1,242 | -13% | — | Margin compression | Store-labour reinvestment, coffee inflation and deleverage on negative comps. | Turning in FY26 |
| Income statement | Operating income (GAAP) | FY23 vs FY22 | +1,253 | +27% | — | Volume | Revenue +12% with operating leverage. | Trend |
| Income statement | Operating income (GAAP) | FY25 vs FY24 | -2,472 | -46% | — | Margin + one-offs | Gross-margin compression plus $892m restructuring. | Partly non-recurring |
| Income statement | Net earnings attributable to | FY25 vs | -1,904 | -51% | — | Margin + one-offs | As above; EPS −51%. | Partly non-recurring |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | Starbucks | FY24 | | | | | | |
| Q · income statement | Gross profit | Q3 FY26 vs Q2 FY26 | +382 | +20% | Fav. | Rate | Leverage on +7.9% comps, lower coffee costs, tariff refunds. | Partly one-off |
| Q · income statement | Restructuring & impairments | Q4 FY25 vs Q3 FY25 | -734 | n/m | Unfav. | One-off | Sept 2025 closures and layoffs (~$755m). | Non-recurring |
| Q · income statement | Restructuring & impairments | Q1 FY26 vs Q4 FY25 | +667 | +88% | Fav. | Reversal | Charges fell back after the Q4 FY25 programme. | Normalisation |
| Q · income statement | Restructuring & impairments | Q3 FY26 vs Q2 FY26 | -278 | n/m | Unfav. | One-off | May 2026 restructuring plan (~$400m programme; mostly impairments plus severance). | Non-recurring |
| Q · income statement | Operating income (GAAP) | Q1 FY26 vs Q4 FY25 | +613 | +220% | Fav. | Reversal of one-offs | Lapping the Q4 FY25 restructuring charge. | Normalisation |
| Q · income statement | Operating income (GAAP) | Q3 FY26 vs Q2 FY26 | +152 | +18% | Fav. | Rate | Margin +180bp QoQ to 10.5%; non-GAAP 14.4%. | Trend (favourable) |
| Q · income statement | Income tax expense | Q1 FY26 vs Q4 FY25 | -441 | n/m | Unfav. | One-off | $273m discrete tax charge related to the China JV. | Non-recurring |
| Q · income statement | Income tax expense | Q2 FY26 vs Q1 FY26 | +254 | +54% | Fav. | Reversal | No repeat of the Q1 discrete charge. | Normalisation |
| Q · income statement | Net earnings attributable to Starbucks | Q1 FY26 vs Q4 FY25 | +160 | +120% | Fav. | Tax + one-offs | Lapping Q4 restructuring; $273m one-off tax charge tied to the China deal. | Mixed |
| Q · income statement | Net earnings attributable to Starbucks | Q3 FY26 | +534 | +105% | Fav. | One-offs + rate | China gain and margin recovery, partly | Partly non-recurring |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | | vs Q2 FY26 | | | | | offset by restructuring. | |
| Q · balance sheet | Total current assets | Q1 FY26 vs Q4 FY25 | +4,640 | +63% | — | Reclassification | China assets moved to held-for-sale (current). | Temporary |
| Q · balance sheet | Total current assets | Q3 FY26 vs Q2 FY26 | -3,025 | -29% | — | Divestiture | Held-for-sale assets derecognised at closing. | Structural |
| Q · balance sheet | Equity-method & other investments | Q3 FY26 vs Q2 FY26 | +1,224 | +155% | — | Divestiture | Retained 40% China JV stake recorded (investments +$1.2bn). | Structural |
| Q · balance sheet | Long-term debt | Q3 FY26 vs Q2 FY26 | -1,304 | -10% | — | Deleveraging | ~$1.3bn of notes bought back by tender offer. | Policy |
| Q · cash flow | Net cash from operating activities | Q2 FY26 vs Q1 FY26 | -1,233 | -77% | — | Seasonal working capital | Q2 is seasonally weakest (holiday card redemption, tax and incentive payments). | Seasonal |
| Q · cash flow | Net cash from operating activities | Q3 FY26 vs Q2 FY26 | +1,277 | +350% | — | Seasonal + earnings | Working-capital reversal and higher earnings. | Seasonal |
| Q · cash flow | Net cash from investing activities | Q3 FY26 vs Q2 FY26 | +2,554 | +773% | — | Divestiture | ~$2.54bn China JV proceeds. | Non-recurring |

*Table 26 — material variance listing with drivers (annual and quarterly; $m). Direction is profit-economic.*

## A.7 · Follow-up questions for unexplained or one-off variances

- **Tariff refunds:** exactly how much of Q3 FY26's product and distribution cost benefit (30.3% vs 32.3% YTD) was IEEPA refunds, and is any still to come in Q4?
- **Comp quality:** split the +7.9% comp into organic traffic, closed-store transfer and delivery, to set a clean FY27 base.
- **China JV accounting:** what is the run-rate of royalty plus equity-method income from the 40% stake, and how much did deconsolidation dilute FY26 EPS (guided $0.02–0.03)?

- **Q4 FY26 closure charge (~$300m):** how is it split between cash and impairment, and what payback is expected on the ~250 closed stores?
- **Dividend policy:** is the $2.52 annualised dividend ($0.63/qtr) covered by FY27 GAAP EPS and FCF after capex normalises?

## APPENDIX A — FY2025 RATIO SNAPSHOT, EVERY PEER

| Company | Op. margin | ROIC | Rev. gr. | Current | ND/EBITDA | Int. cov. | FCF mgn | Payout | P/E | EV/EBITDA |
|---|---|---|---|---|---|---|---|---|---|---|
| Starbucks ● | 9.6 | 17.8 | 2.8 | 0.72 | 4.32 | 6.6 | 6.6 | 149.3 | 51.8 | 20.3 |
| McDonald's | 46.1 | 19.6 | 3.7 | 0.95 | 3.70 | 7.8 | 26.7 | 59.7 | 25.4 | 17.6 |
| Yum! Brands | 30.8 | 41.8 | 8.8 | 1.35 | 4.56 | 5.0 | 20.0 | 50.6 | 26.8 | 19.3 |
| Restaurant Brands | 26.4 | 9.9 | 12.2 | 0.98 | 5.20 | 4.8 | 15.4 | 142.8 | 30.5 | 12.8 |
| Domino's | 19.2 | 71.7 | 5.0 | 1.65 | 4.74 | 4.8 | 13.6 | 39.4 | 23.3 | 18.0 |
| Chipotle | 16.9 | 22.6 | 5.4 | 1.24 | 1.70 | — | 12.1 | 0.0 | 31.4 | 19.9 |
| Dutch Bros | 9.8 | 10.4 | 27.9 | 1.49 | 2.97 | 5.7 | 3.3 | 0.0 | 97.4 | 27.9 |
| Wingstop | 26.7 | 44.7 | 11.4 | 3.26 | 5.09 | 5.2 | 15.2 | 18.6 | 37.7 | 35.9 |
| CAVA | 6.7 | 9.2 | 22.4 | 2.65 | 0.48 | — | 2.2 | 0.0 | 106.9 | 42.0 |
| Darden | 11.9 | 16.1 | 6.0 | 0.42 | 3.07 | 8.0 | 8.5 | 62.7 | 23.9 | 13.8 |
| Texas Roadhouse | 8.1 | 19.2 | 9.4 | 0.50 | 1.23 | — | 5.7 | 44.4 | 27.0 | 15.9 |
| Yum China | 11.2 | 15.3 | 4.4 | 1.05 | 0.54 | — | 7.1 | 38.0 | 18.2 | 8.8 |

*Table 27 — FY2025 ratios by company (fiscal year closest to calendar 2025; Darden FY ends May 2025).*

## APPENDIX B — METHOD & DATA NOTES

- **Peers (n = 11):** MCD, YUM, QSR, DPZ, CMG, BROS, WING, CAVA, DRI, TXRH, YUMC. σ is the sample standard deviation across peers, after excluding values more than 5 robust-σ (1.4826×MAD) from the median when at least 7 peers remain.
- **Definitions:** gross margin = revenue − cost of revenue (Starbucks' cost of revenue includes store operating expenses). ROIC = EBIT×(1−t) / average (total debt incl. leases + equity − cash). EV excludes leases, so EV/EBITDA is on an after-rent basis. Year-end multiples use the closing price on each company's fiscal year-end.
- **TTM snapshot:** the last four reported quarters (Starbucks to 28 Jun 2026). TTM GAAP results include $1.17bn of restructuring and the $536m China gain. The comps use yfinance 'Operating Income', which excludes restructuring and other special items, for every company (SBUX TTM 10.1% vs 7.8% GAAP; the FY25 ratio-panel margin is 9.6% vs 7.9% GAAP). Forward P/E is the yfinance next-fiscal-year consensus.

- **DCF:** FY26E revenue $37.7bn (FY25 $37.2bn, 'flat to slightly up' guidance less China deconsolidation); WACC 8.78% with normalised rf 4.5% (spot 5.24% gives 9.44%); terminal growth 3%; China JV stake at carrying value.
- **Street figures:** consensus from StockAnalysis/S&P Global and MarketBeat; broker actions from MarketBeat, TipRanks, Benzinga and press. Two MarketBeat-listed downgrades (Wells Fargo, Morgan Stanley on 3 Aug) conflict with other sources and are excluded.

## APPENDIX C — SOURCES


1. SBWU bargaining timeline (2026-04) — https://sbworkersunited.org/bargaining-timeline/
2. Atlanta Civic Circle: strike lasted 131 days; bargaining to resume April (2026-03-25) — https://atlantaciviccircle.org/2026/03/25/barista-strike-starbucks-resume-bargaining-sbwu-...
3. On the Labor Front: NLRB declines to expand bargaining damages (374 NLRB No. 66) (2026-03) — https://www.onthelaborfront.com/no-remedy-no-relief-nlrb-declines-to-expand-bargaining-dam...
4. Law360: NLRB won't let Starbucks shed union bargaining claims (2026-08-19) — https://www.law360.com/articles/2515594/nlrb-won-t-let-starbucks-shed-union-bargaining-cla...
5. Hoodline: Judge keeps Workers United trademark fight alive (2026-10) — https://hoodline.com/2026/10/judge-keeps-starbucks-workers-united-trademark-fight-alive-ov...
6. Bloomberg Law: Starbucks lobs new trademark suit against union (2026-06) — https://news.bloomberglaw.com/ip-law/starbucks-lobs-new-trademark-suit-against-union-amid-...
7. Carrier Management/Reuters: Starbucks to face shareholder lawsuit over surprise sales decline (2025-11-24) — https://www.carriermanagement.com/news/2025/11/24/281787.htm
8. Claims Journal/Reuters: Starbucks defeats shareholder suit over US, China sales drops (2026-07-16) — https://www.claimsjournal.com/news/national/2026/07/16/338881.htm
9. USA Herald: Starbucks wins appeal in shareholder suit over union claims (2026-01-03) — https://usaherald.com/starbucks-wins-appeal-in-shareholder-suit-over-union-claims/
10. Newsfile: Johnson Fistel investigates Starbucks derivative claims (2026-01-28) — https://www.newsfilecorp.com/release/281940
11. HR Dive: Starbucks beats Missouri AG's lawsuit targeting DEI programs (2026-02-06) — https://www.hrdive.com/news/starbucks-beats-missouri-lawsuit-targeting-dei-programs/811647...
12. US News/Reuters: Starbucks wins dismissal of Missouri lawsuit over DEI policies (2026-02-05) — https://www.usnews.com/news/politics/articles/2026-02-05/starbucks-wins-dismissal-of-misso...
13. Forbes: Starbucks settles Florida DEI lawsuit, pays $1 million (2026-09-19) — https://www.forbes.com/sites/pamdanziger/2026/09/19/starbucks-settles-florida-dei-lawsuit-...
14. HR Dive: Starbucks, Florida AG ink deal to end DEI lawsuit (2026-09-18) — https://www.hrdive.com/news/starbucks-florida-ag-ink-lawsuit-alleged-illegal-dei/830829/
15. CourtListener: Phillips v. Starbucks (D.N.J. order on economic loss) (2023-08-16) — https://www.courtlistener.com/opinion/9810856/phillips-v-starbucks-corporation/
16. WHYY: Starbucks ordered to pay extra $2.7M (2023-08) — https://whyy.org/articles/starbucks-shannon-phillips-lawsuit-new-jersey-federal-judge/
17. CBS Los Angeles: LA man awarded $50 million against Starbucks (2025-03-14) — https://www.cbsnews.com/losangeles/news/los-angeles-man-awarded-50-million-in-case-against...
18. NBC News: Man awarded $50 million after Starbucks hot tea (2025-03-14) — https://www.nbcnews.com/news/us-news/man-awarded-50-million-starbucks-hot-tea-rcna196616
19. NYC Mayor's Office/DCWP: $38 million settlement with Starbucks (2025-12-01) — https://www.nyc.gov/mayors-office/news/2025/12/mayor-adams--dcwp-announce--38-million-sett...
20. HR Dive: Starbucks NYC Fair Workweek $39M agreement (2025-12) — https://www.hrdive.com/news/starbucks-nyc-fair-workweek-39-million-agreement/806979/
21. Top Class Actions: dress code reimbursement class actions (2025-09-30) — https://topclassactions.com/lawsuit-settlements/lawsuit-news/starbucks-class-action-claims...
22. Fortune: Starbucks workers sue over dress code reimbursement (2025-09-18) — https://www.fortune.com/2025/09/18/starbucks-lawsuit-dress-code-reimbursement
23. Daily Coffee News: Lawsuit accuses Starbucks of misleading buyers on sustainability and chemical content (2026-01-15) — https://dailycoffeenews.com/2026/01/15/lawsuit-accuses-starbucks-of-misleading-buyers-on-s...

24. Hagens Berman case page (2026) — https://www.hbsslaw.com/cases/starbucks-consumer-class-action
25. Justia: NCL v. Starbucks remand order (D.D.C.) (2025-01-28) — https://law.justia.com/cases/federal/district-courts/district-of-columbia/dcdce/1:2024cv00...
26. NCL: Legal victory - lawsuit against Starbucks moves forward (2025-08-11) — https://nclnet.org/statement-from-sally-greenberg-ceo-of-the-national-consumers-league/
27. Bloomberg Law: Starbucks defeats Brazilian coffee workers' forced labor claims (2026-02-18) — https://news.bloomberglaw.com/daily-labor-report/starbucks-defeats-brazilian-coffee-worker...
28. Due Diligence Design: IRAdvocates re-filed lawsuit against Starbucks (2026-06) — https://duediligence.design/iradvocates-re-filed-lawsuit-against-starbucks-over-alleged-fo...
29. Daily Coffee News: Lawsuit targets Starbucks 'sugar-free' protein drinks (2026-10-07) — https://dailycoffeenews.com/2026/10/07/lawsuit-targets-starbucks-sugar-free-protein-drinks...
30. ABC11/AP: Lawsuit accuses Starbucks of mislabeling 8 'sugar-free' protein drinks (2026-10-06) — https://abc11.com/story/lawsuit-accuses-starbucks-mislabeling-8-sugar-free-protein-drinks/...
31. Vegconomist: Quebec court lets plant-based milk fee lawsuit proceed (2026-06-17) — https://vegconomist.com/politics-law/quebec-court-lets-lawsuit-proceed-after-starbucks-adm...
32. ADA Defense blog: Starbucks non-dairy suit refiled in California (2024-03-26) — https://accessdefense.com/?p=6591
33. Daily Intake: Court denies majority of Starbucks Refresher MTD (2023-09) — https://www.dailyintakeblog.com/2023/09/court-denies-majority-of-starbucks-refresher-motio...
34. SettlementInsight (secondary): Kominis voluntarily dismissed (2026-09-28) — https://settlementinsight.com/starbucks-lawsuit
35. CJEU General Court press release 119/19 (Starbucks state aid annulled) (2019-09-24) — https://curia.europa.eu/jcms/upload/docs/application/pdf/2019-09/cp190119en.pdf
36. Starbucks FY2025 Form 10-K (Note 16 Commitments and Contingencies; Item 1A; Note 14 Income Taxes) (2025-11-14) — https://www.sec.gov/Archives/edgar/data/829224/000082922425000114/sbux-20250928.htm
37. Starbucks Q3 FY2026 Form 10-Q (Note 15 Commitments and Contingencies; Part II Item 1/1A) (2026-07-29) — https://www.sec.gov/Archives/edgar/data/829224/000082922426000130/sbux-20260628.htm
38. Political.org: Rep. Moolenaar demands Starbucks close Xinjiang stores (2026-10-01) — https://political.org/2026/10/01/rep-john-moolenaar-demands-starbucks-close-its-first-stor...
39. Starbucks Form 8-K Item 2.05 (North America store closures, ~$300m restructuring) (2026-09-24) — https://www.sec.gov/Archives/edgar/data/829224/000082922426000145/sbux-20260922.htm
40. The Stand: Starbucks baristas file ULPs over store closures (2026-03) — https://www.thestand.org/2026/03/starbucks-baristas-file-ulps-over-store-closures/
41. K&L Gates - Summary: Supreme Court Decision on IEEPA Tariffs (2026-02-20) — https://www.klgates.com/Summary-Supreme-Court-Decision-on-IEEPA-Tariffs-2-20-2026
42. Starbucks Q3 FY26 earnings release (Exhibit 99.1) (2026-07-29) — https://s203.q4cdn.com/326826266/files/doc_financials/2026/q3/3Q26-Earnings-Release-2026-0...
43. Daily Coffee News - Trump order eliminates all tariffs on Brazilian coffee (2025-11-21) — https://dailycoffeenews.com/2025/11/21/trump-order-eliminates-all-tariffs-on-brazilian-cof...
44. Cafe Imports - Most imported coffee now exempt from US tariffs (with 2026 updates) (2026-04-21) — https://www.cafeimports.com/north-america/blog/2026/03/09/most-imported-coffee-is-now-exem...
45. Kroll - A Tale of Tariff Substitution (2026-09-09) — https://www.kroll.com/en/publications/a-tale-of-tariff-substitution
46. Honigman - Section 301 forced-labor tariffs effective July 24, 2026 (2026-07-23) — https://www.honigman.com/alert-3462
47. Trading Economics - Coffee (arabica) price and drivers (2026-10-09) — https://tradingeconomics.com/commodity/coffee
48. Comunicaffe - Conab forecasts record 66.2m-bag Brazil 2026/27 crop (2026-02-05) — https://www.comunicaffe.com/brazil-brazil-conab-forecasts-a-record-harvest-of-66-2-million...
49. Consilium - Council signs off targeted revision to simplify and postpone the regulation (2025-12-18) — https://www.consilium.europa.eu/en/press/press-releases/2025/12/18/deforestation-council-s...
50. HLC - Commission publishes simplification package ahead of December 2026 application date (2026-05-15) — https://www.hlc.com/en/publications/eu-deforestation-regulation-commission-publishes-simpl...
51. CalMatters - California's fast food council lacks a leader, hasn't met in over a year (2026-05-26) — https://calmatters.org/economy/2026/05/fast-food-council-no-chairperson/
52. HR Morning - State minimum wage updates as 2026 begins (2026-01) — https://www.hrmorning.com/news/minimum-wage-updates

53. Foley & Lardner - Republicans gain 3-1 majority on NLRB (2026-08-10) — https://www.foley.com/insights/publications/2026/08/republicans-gain-3-1-majority-on-natio...
54. Proskauer - What the Supreme Court's Slaughter decision means for the NLRB (2026-07) — https://www.proskauer.com/blog/what-the-supreme-courts-slaughter-decision-means-for-the-nl...
55. NYC DCWP - $38 million settlement with Starbucks (2025-12-01) — https://www.nyc.gov/site/dca/news/032-25/mayor-adams-dcwp-38-million-settlement-starbucks-...
56. PBMares - IRS releases occupation list for 'No Tax on Tips' deduction (2025-09) — https://www.pbmares.com/irs-releases-occupation-list-for-no-tax-on-tips-deduction/
57. Baker Tilly - Understanding the no-tax-on-overtime deduction under Code s.225 (2025) — https://www.bakertilly.com/insights/no-tax-on-overtime-deduction-under-code-225
58. Brookings - Shock, awe, and economic fallout (ICE enforcement employment effects) (2026-05-29) — https://www.brookings.edu/articles/ice-enforcement-employment-effects-us-cities/
59. AsAmNews - Texas restaurants report labor shortage as ICE raids intensify (2026-08-24) — https://asamnews.com/2026/08/24/texas-restaurants-labor-shortages-immigration-enforcement-...
60. Tax Policy Center - Review and assessment of the main business tax provisions of the 2025 Reconciliation Act (2025) — https://taxpolicycenter.org/briefs/review-and-assessment-main-business-tax-provisions-2025...
61. Sullivan & Cromwell - OECD releases guidance on Side-by-Side system and Pillar 2 (2026-01) — https://www.sullcrom.com/insights/memo/2026/January/OECD-Releases-Guidance-Side-by-Side-Sy...
62. RSM - OECD side-by-side package offers path for US multinationals (2026-01) — https://rsmus.com/insights/tax-alerts/2026/oecd-package-offers-path-for-us-multinational-e...
63. Starbucks 8-K Ex.99.1 - Starbucks and Boyu announce China JV (2025-11-03) — https://www.sec.gov/Archives/edgar/data/829224/000082922425000079/a20251103-form8xkxex991....
64. Starbucks - Starbucks and Boyu Capital finalize joint venture (2026-04-02) — https://about.starbucks.com/press/2026/starbucks-and-boyu-capital-finalize-joint-venture-t...
65. S&P Global - US says trade truce with China extended till Jan. 10, 2027 (2026-09-24) — https://www.spglobal.com/energy/en/news-research/latest-news/agriculture/092426-us-says-tr...
66. TariffsTool - Tariff news 2026 (US-China reciprocal lists) (2026-09-28) — https://www.tariffstool.com/guides/tariff-news-2026
67. Ropes & Gray - California EPR update: SB 54 regulations approved and in effect (2026-05-03) — https://www.ropesgray.com/en/insights/viewpoints/102mrnj/california-epr-update-sb-54regula...
68. Resource Recycling - CalRecycle approves SB 54 regulations (2026-05-02) — https://resource-recycling.com/plastics/2026/05/02/calrecycle-approves-sb-54-regulations/
69. Envapack - US food labeling requirements 2026-2027 (2026-08) — https://www.envapack.com/en/2026/08/us-food-labeling-requirements-2026-2027/
70. Food Engineering - FDA could finalize front-of-pack nutrition label rule in spring 2026 (2025) — https://www.foodengineeringmag.com/articles/103400-fda-could-finalize-front-of-pack-nutrit...
71. Federal Reserve Bank of Atlanta - FOMC statement (2026-09-16) — https://www.atlantafed.org/news-and-events/2026/09/16/fomc-statement
72. Chase - Fed raises rates in September, officials signal one more hike in 2026 (2026-09-17) — https://www.chase.com/personal/investments/learning-and-insights/article/federal-reserve-r...
73. Fortune - $65bn tax refund boost (BofA) (2026-02-05) — https://fortune.com/2026/02/05/trump-tax-refund-obbba-income-consumer-spending-refund-proj...
74. Forbes - Tax refunds are up in 2026 (2026-03-13) — https://www.forbes.com/sites/kellyphillipserb/2026/03/13/tax-refunds-are-up-in-2026-but-no...
75. D.A. Davidson — 2026-10-09 (2026-10-09) — https://www.investing.com/news/analyst-ratings/da-davidson-reiterates-starbucks-stock-rati...
76. BTIG — 2026-10-08 (2026-10-08) — https://www.investing.com/news/analyst-ratings/btig-reiterates-buy-on-starbucks-stock-115-...
77. UBS — 2026-10-08 (2026-10-08) — https://www.investing.com/news/analyst-ratings/ubs-lowers-starbucks-stock-price-target-on-...
78. RBC Capital — 2026-10-05 (2026-10-05) — https://www.tipranks.com/stocks/sbux/forecast
79. Baird — 2026-10-02 (2026-10-02) — https://www.ad-hoc-news.de/boerse/news/corporate-news/starbucks-closes-250-stores-baird-cu...
80. BofA Securities — 2026-10-01 (2026-10-01) — https://www.ad-hoc-news.de/boerse/news/corporate-news/bank-of-america-keeps-usd-143-00-tar...
81. Rothschild & Co Redburn — 2026-09-30 (2026-09-30) — https://www.marketbeat.com/stocks/NASDAQ/SBUX/forecast/

82. JPMorgan — 2026-09-29 (2026-09-29) — https://www.tipranks.com/news/the-fly/starbucks-price-target-lowered-to-105-from-112-at-jp...
83. William Blair — 2026-09-24 (2026-09-24) — https://stockanalysis.com/stocks/sbux/forecast/
84. Seaport Research Partners — 2026-09-16 (2026-09-16) — https://www.tipranks.com/news/the-fly/starbucks-initiated-with-a-neutral-at-seaport-resear...
85. Oppenheimer — 2026-09-08 (2026-09-08) — https://www.bitget.com/news/detail/12560605806766
86. Baird — 2026-08-25 (2026-08-25) — https://finance.yahoo.com/markets/stocks/articles/sbux-stock-rallied-nearly-28-065936636.h...
87. Melius Research — 2026-08-03 (2026-08-03) — https://www.tipranks.com/news/the-fly/melius-upgrades-starbucks-to-hold-comparable-sales-r...
88. BMO Capital Markets — 2026-07-30 (2026-07-30) — https://www.investing.com/news/analyst-ratings/bmo-raises-starbucks-stock-price-target-on-...
89. Wells Fargo — 2026-07-30 (2026-07-30) — https://www.marketscreener.com/news/wells-fargo-adjusts-price-target-on-starbucks-to-125-f...
90. Morgan Stanley — 2026-07-30 (2026-07-30) — https://www.benzinga.com/quote/SBUX/price-targets
91. Piper Sandler — 2026-07-30 (2026-07-30) — https://www.marketscreener.com/news/piper-sandler-adjusts-price-target-on-starbucks-to-120...
92. Jefferies — 2026-07-30 (2026-07-30) — https://www.bitget.com/news/detail/12560605572677
93. Baird — 2026-07-30 (2026-07-30) — https://www.marketscreener.com/news/baird-adjusts-price-target-on-starbucks-to-124-from-11...
94. TD Cowen — 2026-05-14 (2026-05-14) — https://247wallst.com/investing/2026/05/14/td-cowen-just-upgraded-starbucks-to-buy-margin-...
95. Bernstein — 2026-04-29 (2026-04-29) — https://www.investing.com/news/analyst-ratings/bernstein-raises-starbucks-stock-price-targ...
96. Starbucks Q1FY24 release — https://www.sec.gov/Archives/edgar/data/829224/000082922424000011/sbux-12312023xexhibit991...
97. Starbucks Q2FY24 release — https://www.sec.gov/Archives/edgar/data/829224/000082922424000023/sbux-3312024xexhibit991....
98. Starbucks Q3FY24 release — https://www.sec.gov/Archives/edgar/data/829224/000082922424000041/sbux-6302024xexhibit991....
99. Starbucks Q4FY24 release — https://www.sec.gov/Archives/edgar/data/829224/000082922424000051/sbux-9292024xexhibit991....
100. Starbucks Q1FY25 release — https://www.sec.gov/Archives/edgar/data/829224/000082922425000013/sbux-12292024xexhibit991...
101. Starbucks Q2FY25 release — https://www.sec.gov/Archives/edgar/data/829224/000082922425000033/sbux-03302025xexhibit991...
102. Starbucks Q3FY25 release — https://www.sec.gov/Archives/edgar/data/829224/000082922425000057/sbux-06292025xexhibit991...
103. Starbucks Q4FY25 release — https://www.sec.gov/Archives/edgar/data/829224/000082922425000074/sbux-09282025xexhibit991...
104. Starbucks Q1FY26 release — https://www.sec.gov/Archives/edgar/data/829224/000082922426000010/sbux-12282025xearningsre...
105. Starbucks Q2FY26 release — https://www.sec.gov/Archives/edgar/data/829224/000082922426000078/sbux-03292026xearningsre...
106. Starbucks Q3FY26 release — https://www.sec.gov/Archives/edgar/data/829224/000082922426000129/sbux-06282026xearningsre...
107. Starbucks Q1FY24-Q3FY26 release — https://s203.q4cdn.com/326826266/files/doc_financials/2026/q3/Q3-FY26-Digital-IR-Dashboard...
108. Starbucks Q1FY24-Q2FY24 release — https://s203.q4cdn.com/326826266/files/doc_financials/2025/q4/Q4-FY25-Digital-IR-Dashboard...

**Provenance.** PRISM deep-dive for Starbucks Corporation, extended edition (ratio σ panel, litigation, policy, Wall Street comparison, annual and QoQ statement analysis). Content hash 3956ddcf3d92fe2f · 2026-10-10. **Not investment advice.**